Sa-Dhan
Fostering Inclusive Impact Finance

ANNUAL REPORT

FY 2023-2024

Ensuring Financial Inclusion and Social Impact for the Underprivileged:
Efforts of Sa-Dhan



www.sa-dhan.net



Sa-Dhan
Fostering Inclusive Impact Finance

Sa-Dhan is an association of Microfinance and Impact Finance Institutions. It is an RBI appointed Self-Regulatory Organization (SRO) for Microfinance Institutions. Sa-Dhan is the first and largest association of community development finance institutions in India formed over two decades ago for supporting and strengthening the agenda of fostering Inclusive Impact Finance in India. It strives for creating a better understanding of the microfinance sector among policymakers, funders, banks, governments, researchers, and practitioners. Sa-Dhan has about 220 members working in 33 states/UTs and over 600 districts, which includes both, for Profit and Not for Profit MFIs, SHG promoting institutions, banks, rating agencies, capacity-building institutions etc. Sa-Dhan's members with diverse legal forms and operating models, reach out to approximately 52 million clients with loans outstanding of more than ₹1,73,781 crores. Sa-Dhan is also recognised as a National Support Organization (NSO) by the National Rural Livelihood Mission (NRLM).





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Office Bearers

Mr. H. P. Singh
Chair

Ms. Jayshree Vyas
Co-Chair

Mr. K Paul Thomas
Co-Chair

Mr. Sadaf Sayeed
Treasurer

Board of Directors

Mr. Sarat Chandra Das
MD, Grameen Development & Finance Pvt. Ltd.

Mr. Anup Kumar Singh
MD, Sonata Finance Pvt. Ltd.

Mr. Royston Braganza
CEO, Grameen Capital India Ltd.

Ms. Arpita Pal Agrawal
MD & CEO, Dia Vikas Capital Pvt. Ltd.

Dr. L. H. Manjunath*
MD & CEO, SKDRDP

Independent Members

Ms. L. Leivang
CGM MCID, NABARD

Mr. Brij Mohan
ED (Retired), SIDBI

Mr. U. S. Paliwal
ED, (Retired) RBI

Mr. Jugal Kishore Mahapatra IAS (Retired)
Secretary (Retired)
Ministry of Rural Development, Govt. of India

- *Resigned from Sa-Dhan's Board as he has relinquished his position in SKDRDP*

SRO Grievance Redressal Committee

Mr. U. S. Paliwal
Former ED, RBI

Mr. S. K. Mitra
Former ED, NABARD

Mr. Suresh Krishna
Former MD, Credit, CreditAccess Grameen Ltd.

Mr. Mukul Jaiswal
MD, Cashpor Micro Credit

Mr. Surendra Srivastava
Ex. GM, SIDBI & Ex. CFO, MUDRA

SRO Enforcement Committee

Mr. Jagadananda
Former Information Commissioner
Odisha and Member Secretary, CYSD

Mr. N. Srinivasan
Former CGM, NABARD and
International Consultant, Sector Expert

Ms. K. C. Ranjini
Founder & Chairperson
MI India Development Trust





Message from **Chairman**

Dear All,

This year, Sa-Dhan proudly completed 25 years of dedicated service in strengthening and fostering inclusive impact finance nationwide. As an institution that has been instrumental in the smooth functioning of the microfinance sector. Sa-Dhan has continually exceeded standards of excellence. The association's unwavering commitment has ensured that the MFI sector achieves significant milestones while extending essential financial services to underserved and most marginalized communities, building resilience, and encouraging sustainable development across the nation. I congratulate and pass on my sincere gratitude to everyone, who has been associated with Sa-Dhan in any capacity. It's all of your relentless efforts and dedication that have been the cornerstone of the institution's success, enabling it to create a meaningful impact on countless lives.

Each year, Sa-Dhan has taken various measures to preserve the interests of microfinance institutions and their clients. To mention a few, participation in the state-level association conferences, gathering large-scale data collection and analysis, study on important subjects related to industry, consistent engagement with member institutions, addressing challenges, conducting national conferences, lender – investor meet, financial literacy workshops for clients and constant communication with the various stakeholders. All of these initiatives have enabled us to be constantly aware of the ongoing challenges and opportunities within the microfinance sector, ensuring that we remain responsive and adaptable in our efforts to support and advance the interests of our member institutions and their clients, allowing us to respond proactively and effectively.

The fiscal year 2023 - 2024 for the MFI sector has been one of remarkable progress, wherein it emerged as one of the key contributors to India's inclusive growth narrative. As of 31st December 2024, the industry boasts a total loan portfolio of ₹3,99,442 Crores, demonstrating an aggregate growth in the gross loan portfolio of 24.6% with number of loan accounts of 14.6 Cr and 7.4 unique borrowers. When I look at the sector's performance inching towards more growth every year, it feels like a win for all of us. The consistent growth and success of the MFI sector are reflections of collective dedication and

the strong voices of pioneers who spearheaded the concept of micro-credit and left no stone unturned in their commitment to championing the cause of financial inclusion. As the largest community development finance, Sa-Dhan understands the immense responsibility it holds in setting and administering industry regulations, tools, and performance standards. This ensures effective monitoring of MFIs and their compliance with regulations and the Code of Conduct, always with the best interests of the communities we serve in mind. We at Sa-Dhan have remained resolute in our commitment to developing the Indian microfinance sector on professional, healthy, and ethical lines, fostering sustainable growth and resilience.

In the financial year 2023-24, Sa-Dhan has been exceptionally proactive in engaging with various stakeholders to highlight the transformative role of microfinance in people's lives. Our initiatives included conducting training activities, hosting webinars on important topics, addressing banking institutions, and developing comprehensive course modules. Additionally, Sa-Dhan participated in a delegation from AMFI to Bangladesh to study their microfinance movement. The insights gained from this visit were invaluable, leading to the submission of a policy note to the RBI to incorporate some of these successful practices in India.

As an association committed to ensuring the efficient operation of MFIs, we established a network of MFIs in Southeast Asian countries through the APRACA platform. We organised two meetings with MFI associations from Bangladesh, Nepal, Myanmar, Cambodia, and Indonesia to create a better coordination and knowledge dissemination platform.

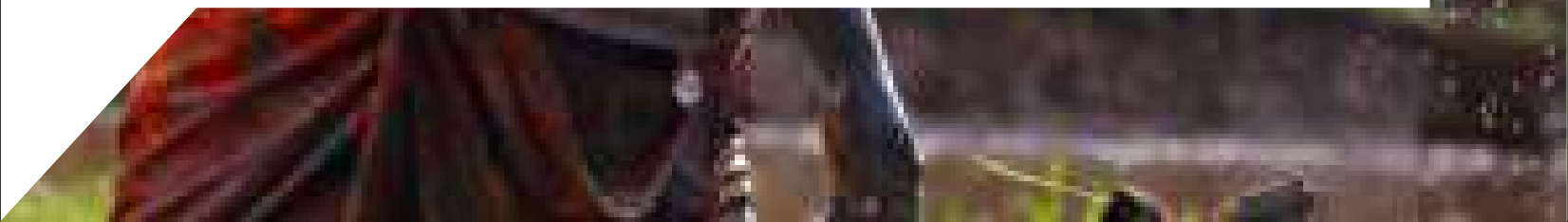
This year, we brought investors to the lender and investor meeting, culminating in the successful lender and investor meeting. We launched several transformative projects in alignment with our revised mandate, focusing on social and financial impact. The RBI-DEA financial literacy workshops, conducted nationwide, have empowered thousands with the knowledge to make informed financial decisions. We have also promoted digital literacy, climate-resilient agriculture, and sanitation through collaborations with HSBC, Water.org and FINISH Society. Our ongoing projects aim to uplift women entrepreneurs and promote health loan products for microfinance borrowers. Microenterprise among microborrowers' development projects in Gujarat and Tamil Nadu, supported by SIDBI, have been successfully implemented, and similar initiatives are underway nationwide.

We look forward to the study on 'Impact of Microfinance' being done by the Indira Gandhi Institute of Development and Research (IGIDR) as well as the study on 'Expanding Financial Inclusion to non-penetrated geographies' done by M2i Consultant. Both of these studies are expected to be groundbreaking and transformative.

As we move into the next fiscal year, we are committed to building on this year's achievements. We will continue to support our member institutions and work towards improving our clients' social and financial status. Our focus will remain on innovation, collaboration, and sustainable growth.

I sincerely thank our Member Institutions, Board Members, RBI, SIDBI, NABARD, Government officials and other stakeholders, supporters, and well-wishers. Your unwavering support has been instrumental in our success. I firmly believe that our collective dedication and coordinated efforts will cultivate a thriving, stable, and enduring culture of financial inclusion nationwide. We look forward to your continued partnership as we strive for an even more impactful year ahead in all our endeavours.

Mr. H. P. Singh
Chairman, Sa-Dhan





Message from **ED & CEO**

I am happy to present the Report of an action-packed year for Sa-Dhan, 2023-24.

The microfinance sector has seen several ups and downs in its past 25-year journey, the latest being the Covid-19 pandemic. However, every time the sector faced a challenge, it came out more strongly with a better safety network. So is the case with Covid 19. The sector, which went through a traumatic period of two years, has since come out with great resilience and has been performing well for the last two years. The new regulatory norms, which came into being on 1 April 2022, have also helped in the recovery of the sector to a great extent. The year 2023-24 is expected to see a 20-plus percentage growth and may touch around ₹4.25 lakh crore outstanding. The Self-Help Group Bank linkage is expected to cross ₹ 2.25 lakh core outstanding. Together, the sector is expected to account for nearly ₹ 6.50 lakh crore outstanding which is a significant contribution to the country's economy. I would like to compliment all the microfinance players for this excellent comeback and good results in the last financial year. However, there are certain cautions one needs to keep with when such a growth is recorded continuously. I am sure the sector is quite mature to take care of this.

As an association, Sa-Dhan has been guiding and supporting its members in overcoming challenges and staying on the growth path.

Sa-Dhan, the first and largest association of microfinance players, started in 1999 and has completed 25 years this year. The silver jubilee celebrations launched in the last AGM on 15 June 2023 at Kochi, will conclude with the forthcoming AGM on 21 June 2024. We can all take pride in the way Sa-Dhan has guided the sector in the last 25 years, being an Association first, an SRO for MFIs, and an Impact creator for the bottom of the pyramid.

Keeping with the changing landscape, the Board and the members of Sa-Dhan, in the Annual General Body meeting held last year, decided to reorient the mandate of Sa-Dhan to focus on the social and financial impact of the poorer sections of the country. With the new mandate, Sa-Dhan started working more vigorously in areas that impacted the lives of poor people. Other than financial inclusion, newer areas like climate change, water, sanitation and hygiene, and affordable housing were taken as the new areas of focus for Sa-Dhan. To give a fillip to this

agenda, a separate vertical within Sa-Dhan was created without impacting the original mandate of member development and SRO roles. The new vertical brought fresh air to Sa-Dhan's initiatives. Several new projects were initiated, and much focus was given to financial literacy, digital literacy, and enterprise development. An effort is also underway to develop a health loan product for the weaker section that MFIs can administer in case of emergency.

We are thankful to our partner MFIs who have participated in the RBI DEA workshops, a major project during the year and other development programmes we undertook. We also thank all our stakeholders, such as RBI, NABARD, SIDBI, and donor institutions like BMGF, JP Morgan Chase, Swiss Re Foundation, and Water. Org, FINISH Society, GIZ, Tata Trust and HSBC for their support in taking up these projects

Sa-Dhan continued its member connect and policy advocacy efforts in much more profound ways. The state member meetings were held regularly, and almost every state was covered by such meetings. Efforts were also made to meet all the crucial stakeholders in respective states during such member meets. An effort was also made to have focused discussions with the member institutions by grouping the members based on their volume of business.

Keeping with the mandate to have our footprints overseas, we initiated a project to create a platform for networks of microfinance in Asia and the Pacific region, on Asia Pacific Rural and Agriculture Credit Association (APRCA), a 50-year-old highly respected multilateral association in the region. It is named as Network of Microfinance Networks in Asia Pacific Region (NOMNAR). The idea is to share experiences, learnings, and best practices in microfinance and related subjects in various countries.

The Sa-Dhan National Conference was held grandly every year, with nearly 800 delegates, including 35 from abroad, attending. The National Conference was supplemented with two regional conferences and two thematic conclaves.

Our focus on facilitating fundraising for MFIs also continued this year. Apart from engaging with senior management of major banks, we continued to have the lender-MFI interface meet in Mumbai. This year, we also brought investors onto this platform to facilitate equity funding for MFIs. Senior executives from more than 30 lender institutions and ten investors participated in the meeting and interacted with the MFIs.

The SRO role assigned to Sa-Dhan was also carried out to the best satisfaction of members and regulators. We regularly interacted closely with the top brass of RBI. We also discussed the challenges member institutions face in regulatory compliance at appropriate forums. We advocated with RBI for favourable consideration on issues bothering the sector like qualifying assets, interest rates, insurance etc.

We successfully got an audience with the top team of DFS, the Ministry of Finance, and GOI. We could present our specific needs, such as funding arrangements for smaller MFIs, equity support for growing companies, action against disturbance caused in recovery of loans in some parts of the country, etc. The GOI team, including the Secretary and Additional secretary, took a positive view on the issues raised and promised to support the industry.

Our efforts for capacity building of MFI staff were addressed through 18 webinars conducted during the year on various important topics. In addition, we conducted two thematic conclaves on HR and compliance involving the persons concerned with these in different MFIs. We have also initiated an engagement with IIBF to build capacity for MFI staff and prospective staff.

The list of activities is much longer, presented elsewhere in this report. Thus, I would say that the past year was an action-filled one for the microfinance sector and Sa-Dhan, in particular. The support extended by the members is duly acknowledged with gratitude. I am thankful to our Board of Governance, its Chair and office bearers, the Board Committees and the SRO Committee for their guidance and directions, which helped Sa-Dhan to move in the right direction. I am also thankful to all our stakeholders, supporters, and funders for reposing confidence in Sa-Dhan and encouraging it to perform. The kind of support we are receiving from various quarters will help us to work with more strength for the sector and the members. We pledge our full efforts in this direction.

With warm greetings and regards

Mr. Jiji Mammen
ED & CEO, Sa-Dhan

The Year 2023 - 2024

India has proudly emerged as one of the largest and fastest-growing microfinance markets globally. The sector's remarkable success has been instrumental in providing financial services to underserved populations, particularly in rural areas. In fiscal year 23-24, the microfinance sector achieved a staggering 16 per cent growth, with a total outstanding of ₹ 4.09 lakh crores* (Source: Equifax India) as of March 31, 2024, a testament to its resilience and potential for further growth.

Microfinance has significantly contributed to India's economic growth, especially in rural areas, and has helped reduce poverty by providing financial assistance to small businesses and low-income households. It is estimated that microfinance contributes 2.2% of GVA. There are efforts to spread the financial inclusion exercise through the microfinance sector to several unreached areas in the country. Currently, the majority of lending is concentrated in a few places. About 84 per cent of the microfinance portfolio is focused only in 10 States. Also, about 58 per cent of the portfolio is accounted for by the top 5 States: Bihar, Tamil Nadu, Uttar Pradesh, Karnataka and West Bengal. These states account for 35-40 per cent of the country's population. Currently, 200 districts in the government account for 70 per cent of the microfinance portfolio, though the microfinance sector is reported to have reached to 730 districts. Sa-Dhan has conducted a study with the support of SIDBI to understand the specific issues related to this skewness and act accordingly. The report is expected soon.

The microfinance sector in India has been increasingly embracing digital technologies to improve efficiency and reach more clients. Digital lending platforms, mobile banking and digital payment solutions have become more prevalent, making financial services more accessible to remote areas.

In 2023-24, the new regulatory framework and policies have helped the microfinance institutions (MFIs) to do well. Continuous government support and regulatory stability are essential for fostering a conducive environment for microfinance activities.

MFIs in India have been expanding their product offerings beyond traditional microcredit to include insurance and other financial and non-financial products. This diversification helps to meet clients' varied needs and enhances financial inclusion.

Over the last decade, the microfinance sector has grown nearly 20 times. Such rapid growth was actualised by the joint efforts of lenders and borrowers, the RBI, and the government's supportive regulations and policies. Despite its development, the microfinance sector in India faces various challenges, including over-indebtedness among borrowers, regulatory constraints, and the need for improved transparency and governance within MFIs. Sa-Dhan is developing a transparency manual to help MFIs be more transparent and facilitate raising funds from lenders. Further, Sa-Dhan has also instituted a study with the help of SIDBI by engaging the Indira Gandhi Institute for Research and Development (IGIDR) to study the impact the sector has brought on the lives of the poorer people. The study is underway.



THE YEAR 2023 - 2024

This year, Sa-Dhan completed its 25 years as an association of microfinance and impact finance institutions. Sa-Dhan's activities can be distinctly grouped into three. The first and foremost is to work as an association of members, taking care of the members and sectoral interests. The second one is to play the role of an SRO as assigned by RBI. The third one is Sa-Dhan's mission to work for an inclusive and sustainable society by actively championing initiatives that align with most of the Sustainable Goals. During the year, the activities of Sa-Dhan were at their peak; the highlights of the activities are shared in this Annual Report 2023-24



A Self-Regulatory Organisation (SRO) Monitoring the Industry and Implementing the Best Practices

Sa-Dhan, since 2015, has been designated as a Self-Regulatory Organisation (SRO) by the RBI for microfinance Institutions. As an SRO, Sa-Dhan has been actively involved in formulating and administering industry regulations, tools, and performance standards to benefit the clientele served by the sector. It has effectively monitored the MFIs regarding their compliance with laws and the Code of Conduct in clients' best interest. Sa-Dhan is committed to developing the Indian microfinance sector along professional, healthy, and ethical lines. During the year, Sa-Dhan, as an SRO, conducted Field Assessment Visits, shared advisories, conducted capacity-building workshops, shared regular updates on the sector with the RBI, analysed reports with members and handheld support to members. Sa-Dhan is pleased to share the insights of the initiatives with its members and stakeholders.

A-1 Engaging with the RBI for a Conducive Sectoral Policy:

Sa-Dhan regularly engages with the RBI and works closely with the regulator to ensure the sector's robust growth, with a strong focus on client protection. It has actively participated in discussions with deputy governors and other senior officials of RBI on multiple occasions to inform them of the sector's progress and raise the issues it faces. During the year, Sa-Dhan had meetings with the senior RBI officials, including Shri M Rajeshwar Rao, DG, DoR; Shri Swaminathan J, DG, FIDD; Saurav Sinha, ED DoR; and Shri Neeraj Nigam, ED, FIDD, Shri Manoranjan Mishra, ED, Shri Jyotiprakash Sharma CGM and Shri Sunil Kumar CGM. In these meetings, Sa-Dhan highlighted the growth & expansion of the sector in unreached territories, the impacts of the harmonised regulations in the field, and innovations in the industry and discussed the different ways of widening and deepening financial inclusion. Additionally, discussed the key challenges such as maintaining qualifying asset norms, the lack of availability of credit information provided by certain types of lenders on CICs and instances of local unrest impacting recovery and business expansion. Sa-Dhan also advocated for a master circular on all regulatory guidelines for MFIs, using Aadhaar as primary KYC and implementing e-KYC.

Moreover, Sa-Dhan's team regularly engages with the RBI Regional Directors and other senior officers across various states (Karnataka, Chhattisgarh, Telangana, Rajasthan,



West Bengal, Punjab, Tamil Nadu, Assam, Odisha, etc.) to brief the RBI on developments within the microfinance sector specific to their regions and jointly work on the regulatory framework and fair practices to achieve greater client protection through responsible lending.

We must mention here that the RBI was part of the Sa-Dhan National Conference; Ms Veena Srivastava, GM, DoR, Reserve Bank of India, was a key speaker at the breakaway session: "The Impact of a Harmonised Regulation on the microfinance sector". The key concerns addressed during the session included indebtedness, competition in loan pricing, and conduct issues. The harmonised regulations linked loan amounts to household income set pricing transparency through a simplified fact sheet and enabled flexibility for lenders while at the same time protecting the clients. The impact of combined credit reports offering a consolidated and holistic view for better risk assessment of the clients was also highlighted during the session.

In another event, Sa-Dhan collaborated with the College of Agriculture Banking (CAB), RBI, Pune, and organised a two-day programme on Financial Inclusion for senior-level practitioners of NBFCs. Sa-Dhan handled the session on the role of SROs in the Code of Conduct and Client Protection. The programme was well appreciated by the participants.

A-2 Advisories shared with Members:

Sa-Dhan has issued several advisories addressing various issues to ensure effective compliance within the microfinance sector. These advisories aim to provide guidance, set standards, and promote best practices among Microfinance Institutions. The advisories included recommending the best practices and innovations of MFIs, pricing microfinance loans and adherence to disclosure norms, guidance on digital lending, and compliance related to the provisioning norms of the RBI. Sa-Dhan has ensured that MFIs are well-equipped to navigate the regulatory landscape, uphold high standards of client service, and contribute to the sustainable growth of the microfinance sector.

A-3 Field Assessment Visits:

One of the key activities of an SRO is to undertake regular field assessment visits. These visits help to understand the operations of MFIs, particularly concerning implementing the Code of Conduct and RBI Regulations. Further, it looks into over-indebtedness, compliance with proper documentation procedures, bundling of products, etc. During this year, Sa-Dhan embarked on field visits spanning states, covering districts and visiting branch offices. Sa-Dhan's team has travelled extensively to Uttar Pradesh, Punjab, Tamil Nadu, Kerala, Odisha, Rajasthan, Gujarat, Chhattisgarh, Assam, Maharashtra, Andhra Pradesh, Karnataka, Telangana, Haryana, Uttarakhand, Madhya Pradesh, Punjab, Jharkhand, Bihar, West Bengal, and Delhi NCR.

Some of the key observations that came up from these visits are:

1. In regions affected by loan waiver movements, like the Karz Mukti Abhiyan, the MFIs found it more difficult to maintain collections.
2. Staff attrition and retention are also significant issues across all states. In some cases, it is more than 50%. This is mainly due to the increased aspirations of the field-level staff, opportunities available within and outside the industry, the nature of work involved in microfinance, etc. Sa-Dhan has initiated a study to understand the exact reasons.
3. There is a continuous need for training and capacity building for both MFI staff and clients; field visits revealed that ongoing education in the financial sector landscape and operational best practices are crucial for growth and sustenance.
4. It was felt that a cap on the number of lenders is needed to avoid over-borrowing. Some lenders have self imposed a cap on the number of lenders per borrower, which is a positive feature.
5. Digital collection is increasing, slowly and steadily, primarily through QR codes, UPI, etc.

A-4 Microfinance at District Levels – Analysing Potential Risk Scores at District Level:

The potentially high-risk geographical areas were analysed at the state, district, pin code and institution levels and regularly shared with the RBI, member MFIs and other stakeholders. These reports benefit Sa-Dhan's member's strategy initiatives and risk management processes. The top 100 districts were identified based on eight parameters, viz. indebtedness, multiple lending, PAR 30+ dpd, PAR 30+dpd difference (Q-o-Q), PAR 180+ dpd, economic potential, growth ratio and the number of lenders. Each district's risk score is calculated based on the abovementioned eight parameters. Over the past three years, out of the top 100 districts, close to 40 were from mainly Eastern and North Eastern states such as Assam, Odisha, West Bengal, Sikkim, Meghalaya, Tripura, Arunachal Pradesh etc.

Furthermore, the data for the top 10 states, in descending order of portfolio, were regularly analysed to understand the potential for lending and further microfinance activities in various geographies based on their indebtedness status and PAR values. Interestingly, in terms of growth

of portfolio (y-o-y), some pin codes of the districts of Bihar (West Champaran, Samastipur, Araria, Sitamarhi, etc.) had recorded more than 30% growth, few pin codes districts of Tamil Nadu (Theni, Thanjavur, Cuddalore etc.) had posted 20% growth, and some pin codes of districts of West Bengal (Murshidabad, Jalpaiguri, Howrah etc.) had posted negative growth in portfolio. In contrast, some pin codes of districts of Madhya Pradesh, Uttar Pradesh, Bihar, Kerala, etc., had PAR 30+ dpd higher than their respective state averages. This information was shared with members to help them make business decisions.

A-5 Analysis on Growth and Concentration in the Microfinance Sector:

Sa-Dhan, an SRO, is keeping close track of the growth and expansion of micro-lenders in different geographies within the microfinance sector. The members are cautioned through periodic data-supported advisories and at the state and district level meetings about areas with high multiple lending, high indebtedness, presence of several micro lenders or where the portfolio growth is moving faster compared to the increase in clients. The members are encouraged to expand to newer, under/unserved areas,

Some of the key highlights of the report are mentioned below:

- The top 10 states contributed 84% of the industry portfolio and 82% of the total loan accounts. Uttar Pradesh recorded the highest growth in both portfolio (41%) and loan accounts (26%), followed by Bihar in portfolio (37%) and loan accounts (25%).
- The top 20 districts hold approximately 15% of the industry portfolio, mainly from states such as Bihar, Tamil Nadu, West Bengal, Karnataka, and Odisha. The districts that have reported maximum portfolio growth are Madhubani (54%), followed by Sitamarhi (48%), Darbhanga (44%), West Champaran (42%), and East Champaran (38%); all of the districts are from Bihar.
- Regarding concentration, 110 districts have portfolios above ₹ 1,000 crores and several micro lenders above 50. These 110 districts constitute approximately 50% of the industry's portfolio, and the majority are from states such as Bihar, Karnataka, Madhya Pradesh, Tamil Nadu, Uttar Pradesh, West Bengal, etc.
- There were 1,668 pin codes (from approximately 20,000 pin codes), and the portfolio is above ₹ 50 crores, much higher than the national average (₹ 17 crores). This is a 39% increase in pin codes (above ₹ 50 crores) from 1,201 pin codes as of March 2022.

A-6 Quarterly Sectoral Reports:

The Quarterly Microfinance Report (QMR) reflects the quarterly sectoral changes and updation, which helps the stakeholders with information about the status of the microfinance sector every quarter. The self-reported data submitted by the MFIs and data sourced from Equifax India, a Credit Information Company, every quarter are analysed to develop the QMR (Quarterly Monitoring Report on the Microfinance Sector), shared with the RBI and all the stakeholders. These Reports help to create an in-depth understanding of the growth of Client Outreach, Number of Loans, Number of Unique Borrowers, Loan Portfolio Outstanding, BC Portfolio, Disbursements, Portfolio Quality, Staff Productivity, Staff Attrition Rate, and Financial data like funding from different sources, various key ratios like ROA, ROE, CAR, region-wise change, and shifts. More than 140 MFIs contributed data for the QMR this year.

A-7 SRO Communication materials for raising Client Awareness, Financial Literacy and Strengthening GRM:

For building client awareness and enhancing financial literacy, Sa-Dhan has developed 3 sets of communication materials. For Clients, Communication material in 11 different languages (Hindi, English, Bengali, Odia, Assamese, Tamil, Kannada, Malayalam, Gujarati, Marathi, and Telegu) to provide clients with vital information on financial literacy, Dos and Don'ts, their rights and duties through infographics. One way to strengthen the client protection aspects in microfinance is to listen to the client's grievances and suggestions(ii) Communication material on GRM in two languages (English and Hindi) for strengthening and promoting client awareness of the Grievance Redressal Mechanism (GRM). For Field staff, communication material in two languages (English and Hindi) on key aspects of the Code of Conduct, Do's and Don'ts in the context of RBI Regulations, client protection measures and other vital information of SRO as a part of responsible lending and client protection.

A-8 Advisories

The general elections across the country and assembly elections in a few states were conducted during the year. Sa-Dhan took up with the National and State level Election Commissioners to allow the regular activities of MFIs and SFBs during the election period. Furthermore, Sa-Dhan has issued an advisory to ensure that institutions and individuals adhere to the Model Code of Conduct and guidelines issued by the Ministry of Finance for the transportation of clean cash to facilitate smooth operations. They have also enclosed the Circular of the Ministry of Finance and the Indian Bankers Association on transporting clean and genuine cash for Banks for reference and adherence.



A-9 Managing challenging situations in different states

Sa-Dhan engaged in crisis management in various parts of the country. Sa-Dhan's role as a crisis manager was well appreciated. The crisis management strategy includes offering support and relief to the affected members, encompassing policy advocacy and capacity building. Sa-Dhan ensures ethical practices, particularly in the wake of crises. Some of the prominent crises are:

- Impact on microfinance operations due to ethnic clashes in Manipur: Inter-communal clashes between the Meitei and Kuki ethnic groups have caused severe damage to India's north-eastern state of Manipur. Sa Dhan took the initiative, contacted the microlenders, and resolved the matter with the appropriate authorities for relief for the clients and MFIs. Sa-Dhan advised all the members of Manipur to support the clients with relief measures as possible, extend the Moratorium to distressed clients, and expand Emergency loans. In a special State Level Bankers' Committee (SLBC) meeting, it was decided that a year of moratorium on all kinds of loans should be provided.
- Disturbances in Puri, Odisha: An unfortunate incident occurred in Anlajodi village, Kanas block of Puri district. Sa-Dhan controlled the situation and advised all active lenders to strictly enforce RBI guidelines, particularly the household income (HHI) assessment, to prevent excessive indebtedness and maintain responsible lending practices, especially recovery practices. To avoid further disturbances, Sa-Dhan discussed the issues with key local stakeholders, including the RBI DOS office, NABARD, and other lenders.
- External intervention in Microfinance Operations in Udaipur, Rajasthan: The microfinance sector of Udaipur, Rajasthan, faced some disruptions due to some ongoing campaign from a local level political party, spreading misinformation and rumours about MFIs. As an SRO, Sa-Dhan has intervened, conducted meetings with senior representatives of MFIs/SFBs/Banks, visited the affected areas with field staff and interacted with borrowers. Sa-Dhan took up the issue with the Block Development Officer (BDO) and the local panchayat office and advised member MFIs to promote responsible lending and client protection.
- "Karja Mukhti Abhiyan": A group of unscrupulous elements have come together to form an organisation called "Karja Mukhti Abhiyan", and they have been trying to mislead clients and arrange a mass loan waiver movement in the sector. The matter was taken up with the RBI, state governments of affected states, and GOI. RBI, as well as some of the state Governments, came forward with a strong message against such practices. In this regard, a meeting was also held with the Hon'ble Finance Minister of Punjab.
- Incident of Client Distress: Another major issue faced by the industry during the last few months is negative media coverage in different pockets of the country, alleging that microfinance is putting women of low income households under financial stress and using harsh recovery practices. Sa Dhan stepped in such cases and quickly studied the matter. Although Sa-Dhan's field-level investigations have not found any direct or coercive involvement of microfinance institutions, the member institutions were advised to strictly adhere to the RBI and Code of Conduct guidelines during the collection process. Also, to take care while appraising the loans and avoid over indebtedness or indebtedness above their borrowing capacity.

B

Working towards an inclusive industry - Sa-Dhan's Role in Policy Advocacy, Representations, and Stakeholder Management

As an industry association, Sa-Dhan plays a pivotal role in policy intervention, actively engaging with central and state governments to shape a supportive environment for the microfinance sector. Sa-Dhan has been advocating conducive policies for the sector, making representations on behalf of the industry to the Finance Ministry, the RBI, SIDBI, NABARD, state governments, and the Election Commission, among others. Additionally, Sa-Dhan's interactions with state-level authorities ensure that regional nuances are considered in policy frameworks, promoting balanced and inclusive growth in the microfinance sector across diverse geographies. Here is the overview of the various policy advocacy-related activities that Sa-Dhan has undertaken in the last year.

B-1 **(A)** Sa-Dhan's continuous engagement with NABARD

Sa-Dhan actively engaged with NABARD throughout the year to seek their guidance and support. These interactions also cover various topics, including the progress of inclusive impacts finance programmes such as WASH (Water, Sanitation, and Hygiene), Green Energy, Climate Resilience, and Financial Literacy. The Sa-Dhan team is also discussing with NABARD how to facilitate long-term credit support for the smaller MFIs by relaxing the existing guidelines or creating a guaranteed product through NABSANRAKSHAN, a NABARD subsidiary. The senior NABARD officials, including the Chairman and DMDs, have actively participated in various national and state events organised by Sa-Dhan, underlining the close collaboration between the two organisations. NABARD has been actively supporting the National Conference, Regional Conferences. and Bharat Microfinance Report 2023, which is gratefully acknowledged. During the year, NABARD supported Sa-Dhan in conducting the Analytical Study on the Training Needs of SHG Members in Chamoli and Tehri Garhwal Districts of Uttarakhand. The Study revealed the region's training gaps, ground requirements, limitations, challenges, and opportunities.



B-1 **(B)** SIDBI's Support & Partnership

SIDBI has played a pivotal role in supporting Sa-Dhan through substantial financial support. The Sa-Dhan team regularly interacted with the SIDBI's senior management, including Chairman and Managing Director, DMDs and other senior officials. SIDBI has been a significant partner for events like the National Conference and the Lender Investor MFI interface meeting. SIDBI also sanctioned two projects to Sa-Dhan to undertake developing microenterprises among women micro borrowers in Gujarat and Tamil Nadu

Sa-Dhan is also working on a National Study on the Impact Assessment of the Indian Microfinance sector on the life of the Borrowers sanctioned by SIDBI with a sample size of 6,000 clients. The study will assess the impact of microfinance loans on the lives of the borrowers of microfinance institutions, such as the financial benefits derived, social benefits accrued, and improvement in the dignity of lives of borrowers and also understand the impact assessment tools used by the MFIs, if any. IGIDR is doing the study, and it will be completed in 2024.

Furthermore, Sa-Dhan has completed a comprehensive Study on "Financial Inclusion in Underserved Areas", a project awarded by SIDBI. This study delved into the complex issues hindering financial inclusion in India, including the geographical challenges of reaching clients, risk perception due to natural disasters, poor credit discipline, low income levels, lack of safety perception due to crime, and the scarcity of funds for deployment in these areas. The findings of this study are crucial in shaping our future strategies for expanding financial inclusion.



Sa-Dhan deeply appreciates SIDBI's invaluable support and partnership throughout the year. Our shared commitment to the microfinance sector has been instrumental in the achievements, and Sa-Dhan looks forward to continuing this fruitful collaboration.

B-2 Engaging with Ministries at the Central and State Governments for the Industry's benefit:

Sa-Dhan actively collaborates with various government ministries to advance the microfinance sector and promote financial inclusion. Throughout the year, Sa-Dhan has held several meetings with key officials from GOI and State Governments. Some of them are:

- Meeting with the senior team of DFS: Sa-Dhan had an exclusive audience with the senior team of the Department of Financial Services (DFS) and the Government of India (GOI), including secretaries, additional secretaries, joint secretaries, and other senior officials. In these meetings, Sa-Dhan discussed the current status of the microfinance sector, highlighting both achievements and challenges and support needed

from the Government. Sa-Dhan, being the association, always advocates for the industry in raising funds to sustain and expand the reach of microfinance institutions.

- Engagement with the Finance Minister of Punjab: The Sa-Dhan team interacted with Advocate Harpal Singh Cheema, the Finance, Planning, Excise, and Taxation Minister of Punjab, along with RBI officials to discuss Karz Mukti Abhiyan, which is impacting the microfinance sector to cater to low-income families. Mr. Ajay Kumar Sinha, Principal Secretary (Finance), and Mr. Vivek Srivastava, RD RBI, also attended the meeting.
- Capacity Building of Civil Servants in Assam: As part of its efforts to educate young civil servants about the role of microfinance institutions and their contribution to financial inclusion, Sa-Dhan has initiated participation in their training activities. The Assam State Government had invited Sa-Dhan to join the training program for 150 state civil servants undergoing probationary training. During the program, Sa Dhan conducted a session on microfinance, highlighting its impact and significance. The trainees highly appreciated the microfinance sector's vital role in fostering financial inclusion, which is a testament to the effectiveness of Sa-Dhan's engagement.
- Interaction with the District Commissioner Udaipur: Sa-Dhan's representatives and members from MFIs successfully worked with the District Commissioner (DC) and Lead District Manager (LDM) in Udaipur to sort out an issue that arose due to an unfortunate incident in the district. A comprehensive update on Microfinance, the Code of Conduct, the interest rate, and the collection and disbursement process were also shared with the district administration.
- Engagement with the Director of Institutional Finance, Odisha: Sa-Dhan engaged with the Government of Orissa, especially the Director of Institutional Finance Odisha, and provided an update on the microfinance portfolio in the state. This was in connection with some adverse reports on unfortunate incidents in the State.
- Representation to District Collectors of Nandurbar and Jalgaon of Maharashtra: Sa-Dhan team interacted with the Additional District Collector and District Collector of the Nandurbar and Jalgaon districts of Maharashtra to apprise them about the Microfinance operations and the Karza Mukti Abhiyan (loan waiver certificate movement) in the district. Sa-Dhan requested their support from the district administration to check on such movements, which vitiated the credit culture.



B-3 Engagement with Stakeholders in Telangana - High Court Verdict:

After the High Court verdict, Andhra Pradesh and Telangana are expected to be the market for microlenders. In this context, Sa-Dhan engaged with microlenders and various stakeholders to ensure the smooth resumption of microfinance operations. The Sa-Dhan team interacted with the RBI, NABARD, Stree Nidhi APMAS, and the state's member institutions. It was decided to organise a financial inclusion conclave, bringing all stakeholders together to give a common approach for micro-lending in the state.

B-4 MFIs Collaboration with NSFDC:

National Scheduled Castes Finance and Development Corporation (NSFDC) and Sa-Dhan initiated a pilot project to finance SC candidates through MFIs. NSFDC agreed to allocate ₹ 30 crore for on-lending purposes at a rate of 5% ROI. Accordingly, NSFDC executed an MOU with four MFIs to expand their operations in Bihar, Odisha, and Jharkhand. Sa-Dhan has worked with NSFDC to develop a protocol for lending through the MFIs.

B-5 APRACA: Building Alliance with Regional Network:

Sa-Dhan and the Asia Pacific Rural and Agriculture Credit Association (APRACA) created a platform called Network of Microfinance Networks in Asia Pacific Region (NOMNAR) on APRACA, involving the significant networks of Microfinance in the region. A meeting of the heads of Microfinance networks in Nepal, Cambodia, Laos, and Bangladesh's CDF participated and expressed their support for NOMNAR. Sa-Dhan is leading the effort to build and strengthen this association of networks in the Asia Pacific region to share experiences and learn.



B-6 Interface between Punjab National Bank (PNB) and MFIs:

Sa-Dhan had organised a virtual interface between MFIs and Punjab National Bank (PNB) officials. The objective of the meeting was to ensure a smooth flow of credit from PNB and the Microfinance institutions.

B-7 Synergy Meet with the State Bank of India:

To address the liquidity needs of the MFIs, Sa-Dhan and SBI organised a Synergy Meet at the State level at Lucknow, where the top executives of banks and senior management persons from MFIs interacted. SBI indicated its interest in supporting Sa-Dhan member MFIs through term loans, pool purchases, co-lending, and other forms of debt.

B-8 Interaction with the Board of Punjab and Sindh Bank:

Sa-Dhan had an opportunity to interact with the Punjab and Sindh Bank board members. The Sa-Dhan team highlighted microfinance institutions' activities and MFIs' role in financial inclusion. The need for funding MFIs was also emphasised.

B-9 Engagement with CMD NEDFI (North Eastern Development Finance Corporation Ltd):

Sa-Dhan interacted with the CMD, NEDFI, and the head of NEDFI's microfinance lending vertical to discuss extending more credit to MFIs operating in the North-Eastern region. Sa-Dhan and NEDFI addressed the need to develop new MFIs where MFI operations are absent.

B-10 Strategic interactions with the MFI- CEOs:

Sa-Dhan convened two strategic meetings with the CEOs of its member MFIs for a focused discussion on some of the issues of interest, like preventing over-indebtedness among the most vulnerable clients. The discussions highlighted the increasing competition from new

entrants like FinTech and Nidhi companies and the critical issue of incomplete data capture by credit information bureaus regarding the loans issued through cooperative banks and the SHG Bank linkage programme. The members also highlighted the menace caused by the organisations like Karz Mukthi Abhiyaan. The RBI and the Government of India took up the flagged issues.

B-11 Engagement with CMD NEDFI (North Eastern Development Finance Corporation Ltd):

During the year, Sa-Dhan organised State/Zonal/Cluster/District-Level Member Meetings in Tamil Nadu, Gujarat, Uttar Pradesh, Uttarakhand, Maharashtra, Rajasthan, Chhattisgarh, Delhi NCR, Patna (Bihar) Kolkata (West Bengal), Chandigarh (Punjab), Ajmer (Rajasthan), Ahmednagar (Maharashtra), Palakkad Thiruvananthapuram (Kerala), Chennai (Tamil Nadu), Manipur, Telangana, Palakkad (Kerala), Udaipur (Rajasthan), Thiruvananthapuram (Kerala), Dehradun (Uttarakhand), Udaipur (Rajasthan), Bangalore (Karnataka), Udaipur (Rajasthan), Ahmednagar (Maharashtra), Guwahati (Assam), Ernakulum & Thrissur (Kerala), Villupuram (Tamil Nadu), Lucknow (Uttar Pradesh), Bhopal (Madhya Pradesh), Jaipur (Rajasthan). The objective of the meetings was to understand the state-specific issues, specific gaps, ground-level issues and concerns, etc.



B-12 Strategic interactions with the MFI- CEOs:

Sa-Dhan convened two strategic meetings with the CEOs of its member MFIs for a focused discussion on some of the issues of interest, like preventing over-indebtedness among the most vulnerable clients. The discussions highlighted the increasing competition from new entrants like FinTech and Nidhi companies and the critical issue of incomplete data capture by credit information bureaus regarding the loans issued through cooperative banks and the SHG Bank linkage programme. The members also highlighted the menace caused by the organisations like Karz Mukthi Abhiyaan. The RBI and the Government of India took up the flagged issues.

B-13 Member Meeting

During the year, Sa-Dhan organised State/Zonal/Cluster/District-Level Member Meetings in Tamil Nadu, Gujarat, Uttar Pradesh, Uttarakhand, Maharashtra, Rajasthan, Chhattisgarh, Delhi NCR, Patna (Bihar) Kolkata (West Bengal), Chandigarh (Punjab), Ajmer (Rajasthan), Ahmednagar (Maharashtra), Palakkad Thiruvananthapuram (Kerala), Chennai (Tamil Nadu), Manipur, Telangana, Palakkad (Kerala), Udaipur

(Rajasthan), Thiruvananthapuram (Kerala), Dehradun (Uttarakhand), Udaipur (Rajasthan), Bangalore (Karnataka), Udaipur (Rajasthan), Ahmednagar (Maharashtra), Guwahati (Assam), Ernakulum & Thrissur (Kerala), Villupuram (Tamil Nadu), Lucknow (Uttar Pradesh), Bhopal (Madhya Pradesh), Jaipur (Rajasthan). The objective of the meetings was to understand the state-specific issues, specific gaps, ground-level issues and concerns, etc.

Some of the points that were covered during the Member Meets are:

- Karza Mukti Abhiyan
- Benefits of information provided by Sa-Dhan on highly leveraged geographies and risk-prone areas to prevent unwanted crowds, especially while opening new branches.
- HR issues: high attrition, staff poaching, recruitment of fraudulent staff, joining staff without NOC, avoiding reference checks, and staff fraud due to gaps in uploading the employee's data on the Equifax portal.
- Strictly adhering to the Industry Code of Conduct to ensure client protection.
- Emphasis on client engagement beyond lending and collections.



C

C-1 Bharat Microfinance Report (BMR) 2023:

Sa-Dhan has been publishing The Bharat Microfinance Report since 2004 to showcase the performance of MFIs among stakeholders, notably policymakers/regulators, Financial Institutions, and Banks. The report helps increase transparency, build credibility, and encourage investors to support the sector. The BMR relies on primary data from MFIs across India and secondary data from Credit Information Burau and other sources. The industry's most comprehensive report collates data from NBFC-MFIs, Banks, SFBs, NBFCs, and Non-profit MFIs.

Sa-Dhan's Bharat Microfinance Report 2023 was released on 08th Nov' 2023 at the 18th National Conference on Inclusive Growth by Shri K. V. Shaji, Chairman, NABARD, in the presence of Shri S. Ramann, CMD, SIDBI, Shri Alok Kumar Choudhary, MD, State Bank of India, Shri H. P. Singh, Chair, Sa-Dhan & CMD, Satin Creditcare Network, and other eminent dignitaries and personalities.

The BMR 2023 is based on data collected from 213 MFIs and 9 SFBs, including 63 non-members of Sa-Dhan. The 213 MFIs represent around 99% of India's microfinance sector and include information on MFI client outreach, loan portfolios, disbursements, portfolio quality, profitability, and key financial ratios. The microfinance institutions' loan portfolio outstanding as of March 31, 2023, is ₹ 1,79,855 Crore.

Key Highlights of the BMR 2023:

- Client Outreach: 532 lakhs:
- Gross Loan Portfolio Outstanding of MFIs: ₹ 1,79,855 Cr.
- Disbursement during the year: ₹ 1,75,944 Cr.
- Non-Performing Assets: 2.41 %
- ROE: 12.19%
- ROA: 2.49%
- CAR: 26.47%

C-2 Guide on Best Practices on Loan Sourcing, Product Design, Household Income Assessment and NPA Management:

To encourage good practices in MFIs, Sa-Dhan brought out the first series of books on 'Best Practices in the Microfinance Industry' by compiling the best practices adopted by different MFIs. Sa-Dhan brought out the second series on Best Practices in the Microfinance Industry by compiling the best practices adopted by different MFIs. This series of Best Practices focused on topics such as Loan Sourcing, Product Design, Household Income Assessment and NPA Management through detailed interviews with key functionaries of MFIs and Microfinance experts. The book was launched during the State-level financial conclave in Bengaluru on 7 June 2024.



D Sector Building

D-1 Capacity Building programmes for members through Webinars on various topics:

As part of Sa-Dhan's efforts to build knowledge and skills on different topics for Microfinance Practitioners, Sa-Dhan regularly organises various capacity-building programmes. During the financial year, Sa-Dhan has organised several vital webinars on other themes in the microfinance sector. Attendance was consistently overwhelming, as the topics chosen for the webinars were all need of the hour.

Sa-Dhan organised the following Webinars during the year 2023 - 2024

- Empowering MFIs on effective client engagement through digital mode
- Best Practices in Governance
- Unlocking the potential of HR Bureau: Strategic Approach to Manage Risk and Employee Attrition
- Microfinance - Impact & Learning (in association with SIDBI)
- Adopting ESG for a thriving Microfinance Fraternity
- Liberating Microfinance Institutions from Paperwork:
- Data Application: A key to success for the microfinance sector
- Credit Risk and Households Income Assessment
- Climate Risk Insurance and Microfinance



D-2 Engagement with IIBF:

As part of efforts to strengthen the capacity programme in MFIs and train prospective employees for MFIs, Sa-Dhan engaged with the Indian Institute of Banking and Finance (IIBF) Mumbai. The discussions revolved around offering a programme for the existing staff at different levels and a certificate course for those wanting to join MFI. The matter is under their consideration.

E National & Other Conclaves: A Platform for Networking

E-1 The National Conference:

This year 2023 - 24 Sa-Dhan celebrated its 25th year of its existence. The 18th National Conference on Inclusive Growth by Sa-Dhan was successfully organised on 8th-9th November, and it was a huge success. The two-day Sa-Dhan National Conference on Inclusive Growth theme was "Microfinance – Marching to Amritkaal with 25 Years of Inclusive Impact Legacy". The conference had a diverse range of topics and speakers of eminence and participants, including representatives from microfinance institutions, banks, government agencies, NGOs, investors, and academia. There were 35 delegates from overseas, including three speakers. This diversity fostered dynamic discussions, enabling us to view microfinance challenges and opportunities through multiple lenses. The conference themes and topics were carefully curated to address the most pressing issues in microfinance. From discussions on the impact of technological innovations to the evolving regulatory landscape, the conference delved into subjects crucial for shaping microfinance's future. The conference had 80 speakers, and 800 people attended the meeting. The inaugural session included eminent personalities like Mr K V Shaji, Chairman NABARD, Mr S Ramman, CMD SIDBI, Mr Alok Kumar Choudhary, MD, State Bank of India, Mr Pankaj Gupta, MD & CEO, Pramerica Life Insurance, Mr H P Singh, Chair Sa- Dhan & CMD, Satin Creditcare Network, Mr. Jiji Mammen, ED &CEO, Sa-Dhan and Mr Sadaf Sayeed, Treasurer Sa-Dhan & CEO Muthoot Microfin.

Sa-Dhan has been giving the WASH Awards with Water.org for some time now. At the last Conference 2023, Water.Org presented awards for top contributing financial institutions in Water & Sanitation Financing -The WASH Awards. In 2023, Sa-Dhan introduced the Ela Ben Memorial Award for the best gender-friendly MFI.

E-2 Silver Jubilee Celebrations of Sa-Dhan:

Sa-Dhan's Silver Jubilee celebrations were held at a colourful function on 8 November 2023 at the lawns of Hotel Ashoka Delhi. All the CEOs of the member institutions and industry veterans, including some of the founding members of Sa-Dhan, were invited to be felicitated at the function. A Coffee Table Book depicting Sa-Dhan's journey in the last 25 years was released.





E-3 The North India Regional Conference on Financial Inclusion:

As part of its effort to promote financial inclusion in the country, Sa-Dhan organised regional-level conferences. Accordingly, Sa-Dhan organised a seminar on Financial Inclusion, focussing on seven states of the North Western region, at Chandigarh on 3 August 2023. The Conference was attended by Shri H P Singh, Chair of Sa-Dhan and CMD, Satin Credit Care, Ms Deepa B Guha, CGM, Haryana RO of NABARD, Shri Raghunath B, CGM Punjab, RO of NABARD, Smt Jayshree Vyas, MD- SEWA Bank, Shri Royston Braganza CEO, Grameen Capital, Shri Amardeep Samra, MD Midland Microfin, Shri Vivek Tiwari, CEO, Satya MicroCapital, Ms Purvi Bhavsar, MD, Pahal Financial Services, Shri Pramod Paliwal, CEO, Arth Micro Finance, and other senior leaders from the microfinance industry and its support institutions. The conference deliberated on the potential of seven North-Western states under microfinance and the approach to be adopted in reaching far-flung hilly terrains. The use of technology and innovation in product and process was also deliberated. More than 150 people from the microfinance and banking sectors attended the conference.

E-4 The North East Conclave on Financial Inclusion:

Sa-Dhan organised the North East Conclave on Financial Inclusion at the Administrative Staff College, Guwahati. The objective of the Conclave was to revive the microfinance activities in the region to achieve better financial inclusion, especially in Assam, where microfinance activities have been stagnant for the last couple of years. The conclave was inaugurated by Shri Munindra Sharma, IAS, Secretary of Rural Development & Panchayat, Assam Government, and the valedictory address was delivered by Shri Samir Sinha, IAS, Secretary of Finance and Secretary to CM, Assam Government. Both the secretaries appreciated Sa-Dhan's role in reviving microfinance in the region and promised to support the microfinance activities in the state. Shri Navin Dhingra, CGM of NABARD, delivered the keynote address. There were three-panel discussions, and the panellists included Shri S P Singh, CGM SIDBI, Shri Dhruba Charan Bal, GM SBI, Shri PVSLN Murty, CMD NEDFI, Ms Carol Furtado, CBO Ujjivan Small Finance Bank, Shri Samir Kant Jha, DGM SBI, Shri Manoj Nambiar, MD Arohan, Shri A Sarma, IIBM Guwahati, Shri Anjan Das Gupta, CEO ASA, Shri Sharad Chandra Das, MD, Grameen Develop & Finance, Shri Mantu Nath Sharma, CEO, Nightingale.

E-5 Lender - Investors-MFIs Confluence:

Sa-Dhan organised the Lender-Investors-MFIs confluence to facilitate the smooth running of fund flow to the MFIs in the country. Raising funds has been a significant challenge, especially for the medium and small institutions of the sector. Although there are funding agencies like the NABARD, SIDBI, MUDRA, Banks, etc, many times smaller MFIs cannot raise funds cost-effectively, increasing their borrowing and lending costs and adversely affecting the borrowers. Sa-Dhan felt it was their responsibility to bring the lenders and investors face to face with the MFIs to understand each

other's requirements and help create a smoother flow of credit with fewer hassles. In January 2024, Sa-Dhan organised the second consecutive year of the Lenders Meet, during which excellent interaction between the lenders and MFIs occurred. While the lenders were very positive regarding funding the MFIs, they also indicated a need for greater transparency and better governance practices in MFIs to get the confidence of lenders. The event was graced by CMD SIDBI Mr S. Ramann, Mr G S Rawat DMD NABARD, Mr Paul Thomas, MD-& CEO, ESAF Bank, Mr P C Saboo, CGM, SBI and Mr H P Singh, CMD, Satin Creditcare Network Limited along with eminent speakers. All the central public sector banks, private sector banks, and MFIs participated and interacted with each other.

E-6 Thematic conclave #1 - Microfinance HR Conclave:

Sa-Dhan had organised a Microfinance HR Conclave in Chennai. This conference is the first of its kind in the sector and was attended by HR Leaders, MDs, CEOs, and Operation Heads of MFIs, SFBs, and NBFCs from across the Country. The event saw over 130 participants. The conference was an excellent platform for HR leaders to network, interact, and deliberate on contemporary HR-related topics like talent management, capacity building, organisational culture, employee benefits, HR technology, etc. The event had brilliant speakers who received excellent support from the sponsors and partners. The gathering fostered a collaborative environment where industry pioneers exchanged valuable perspectives, contributing to the continued growth and sustainability of Microfinance and Impact Finance Institutions.

E-7 Thematic conclaves #2 - Compliance Officers Conclave:

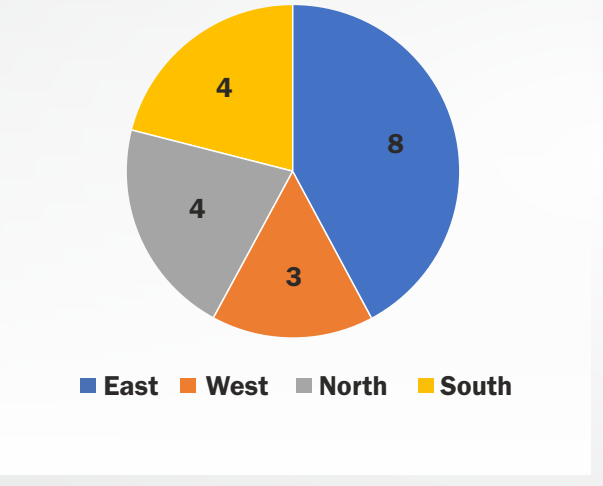
As part of Sa-Dhan's role to build capacities of the member institutions, Sa-Dhan, as an SRO, has regularly conducted Conferences, Conclave, Training Programmes, Workshops, Webinars, etc, on relevant topics at a national and regional level. In this regard, Sa-Dhan, in association with the Association of Karnataka Microfinance Institutions (AKMI), State level Association had organised a Conclave for Compliance Officers in Bengaluru to provide a platform for the Compliance Officers and Company Secretaries to interact, deliberate and discuss the recent developments in regulatory compliance.

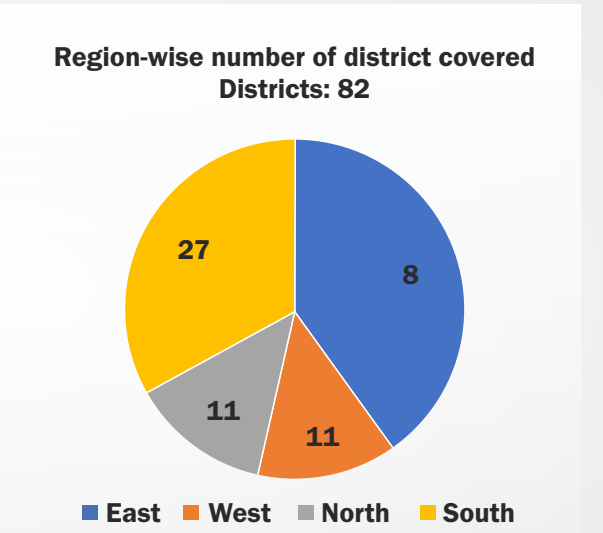


F Social and Financial Impact

Sa-Dhan's mission is to advance an inclusive and sustainable society by actively championing initiatives that align with most of the Sustainable Development Goals (SDGs) enunciated by the United Nations and the flagship program of the Government of India. Recognising India's pivotal role in global SDG achievement, Sa-Dhan participates in endeavours aimed at eradicating poverty (SDG 1), Zero hunger (SDG 2), Good Health and Well-being (SDG 3), promoting quality education (SDG 4), achieving gender equality (SDG 5), ensuring clean water and sanitation (SDG 6), fostering affordable and clean energy (SDG 7), promoting decent work and economic growth (SDG 8), Sustainable Cities and Communities (SDG 11), climate action (SDG 13), and strengthening partnerships for the goals (SDG 17).

Through strategic collaborations with governmental bodies, non-governmental organisations (NGOs), and diverse stakeholders, Sa-Dhan tackles the interconnected social and financial challenges marginalised communities face, especially women. By prioritising initiatives like enhancing financial literacy, advocating for equitable social welfare policies, and bolstering governance and risk management capacity-building efforts, Sa-Dhan is deeply committed to ensuring that no individual is left behind on India's development trajectory. With an unwavering and steadfast commitment to prioritising people's needs and fostering inclusivity, Sa-Dhan is pivotal in propelling India's advancement towards the SDGs, instilling optimism and confidence in a future marked by shared prosperity and sustainable development for all.





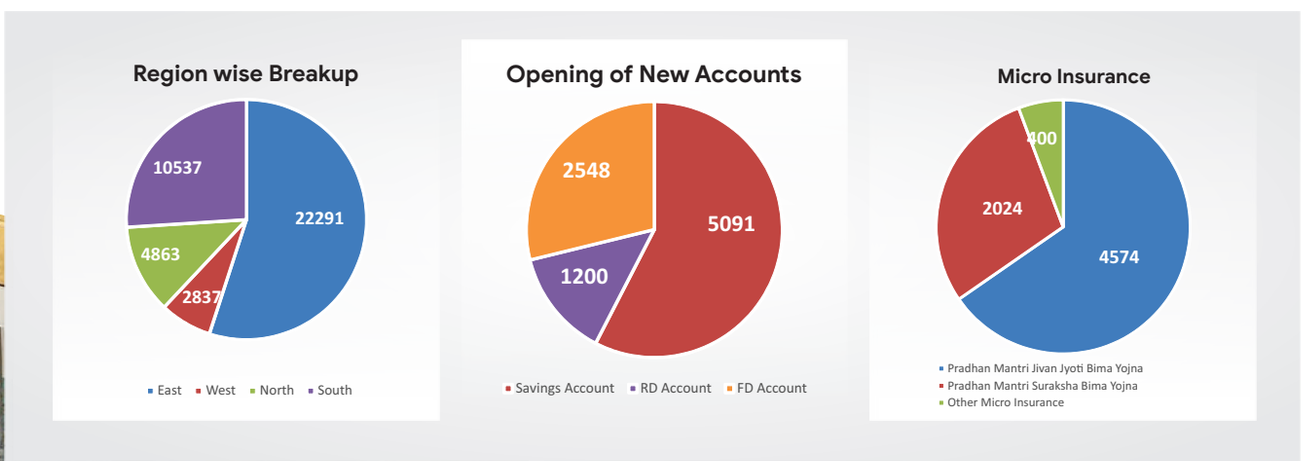
Enabling Financial Literacy under the aegis of RBI- DEA Fund Section.

Financial literacy is a key factor in any country's progress, as it is directly proportional to economic growth. It is the ability to effectively manage various financial skills, such as personal finance management, budgeting, and investing. Financial investments and services have recently become widespread among people of all economic backgrounds. India's financial literacy rate among its young and adult population has been growing due to various factors, including recent technological advancements and media coverage. The government of India, RBI, and various other stakeholders are constantly working to promote financial literacy through courses, workshops, and schemes. The country has many online financial services users, from banking to online payments and insurance. This helped to improve India's financial literacy as the awareness and ease of insurance and banking increased. Financial literacy empowers the community. However, the status of financial literacy among underprivileged communities is very low.

In this vein, Sa-Dhan submitted a proposal for 2250 deposit awareness workshops to be conducted under the RBI DEA fund in 83 districts across 20 states, with support from 29 partner institutions (MFIs). The workshops were to be conducted in 11 months i.e., May 2023 – March 2024. All the workshops were divided among 29 partners based on their reach in various geographies. Out of 2250 workshops, 75% were to be organised in rural areas, 20% in semi-urban and 5% in urban areas. The majority of the workshops were planned in the Eastern region (55%), followed by the Southern region (26%), the Northern region (12%) and the Western region (7%). Initially, an orientation programme was organised with the 29 partner institutions to brief them about the programme. Further, Sa-Dhan imparted 3 days of TOTs to 350 trainers of partner MFIs to educate them about various training modules and how to conduct the workshops, checklist and other necessary details. In the span of eleven months, from May'23 to March'24,

Sa-Dhan, in association with 28 partner institutions, has completed 100% workshops, i.e. 2250 out of 2250 (May- 206, June - 219, July – 315, Aug – 364, Sep – 324, Oct- 209, Nov- 200, Dec- 178, Jan- 156, Feb-69 and March-10) in 19 States.

After the workshops, people have adequate information about savings, bank accounts, the importance of accounts, good credit behaviour, fringe benefits, and social security schemes.











Enabling Digital Solutions to Overcome Digital Inclusion Barriers

Sa-Dhan undertook a project to enable digital solutions to overcome digital inclusion barriers. These projects aim to empower marginalised communities, particularly women from all urban, semi-urban, and rural geographies, by enhancing their digital proficiency for financial transactions. This initiative aligns with three Sustainable Development Goals (SDGs) outlined by the United Nations. It encompasses three main objectives: advancing education, fostering gender equality and women empowerment, and promoting rural development.

Since 2017, Sa-Dhan has implemented the programme in various states such as West Bengal, Gujarat, Punjab, Tamil Nadu, Chhattisgarh, Assam, etc. The programme's major components are to educate people about various avenues of digitisation via organising training sessions in multiple ways, using a physical approach to adopting Technology, using demonstrative games, using nukkad natak, etc. The interventions resulted in more than 2 million low-income women understanding the multiple digital channels to do digital transactions safely. The momentum will continue as Sa-Dhan has trained approximately 285 trainers of 6 partner MFIs on driving digital channel adoption hassle-free to make it sustainable.

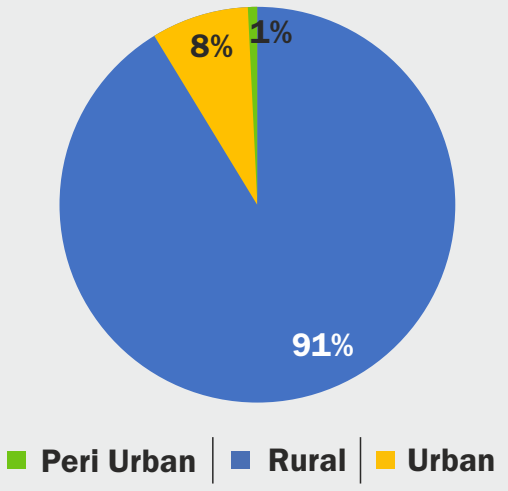
Water and Sanitation Financing

Sa-Dhan implemented the Water and Sanitation Financing programme in 8 states of India, including Maharashtra, Madhya Pradesh, Uttar Pradesh, Odisha, Tamil Nadu, Karnataka, Bihar and Rajasthan. Under the programme, Sa-Dhan has extended awareness among the community via workshops, training programmes, and village campaigns on the usage of water, sanitation, and hygienic facilities on the premises. Additionally, Sa-Dhan strengthened the capacity of microfinance institutions to develop WASH products in the portfolio and extended credit support to marginalised communities to have WASH facilities on the premises so they can live hygienic lives. Moreover, Sa-Dhan was instrumental in bringing water and sanitation to priority sector lending to bring liquidity to the product. In this regard, Sa-Dhan always communicates with multiple financial institutions such as banks, SFBs, NBFCs, and other financial institutions to add WASH products to the portfolio and extend credit support to the microfinance institutions to move the agenda forward. Sa-Dhan has worked closely with 34 MFIs, providing a credit facility of ₹352 Cr. impacting the lives of 4.97 lakh people.

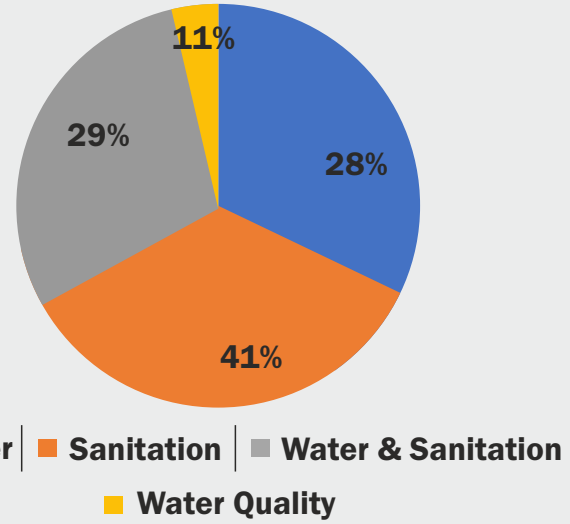
The primary objective of the Water Credit Adoption and Development Programme (WCAD) is to enhance WASH infrastructure, elevate health and hygiene standards, and mitigate healthcare costs associated with water and sanitation-related illnesses. Through credit support totalling ₹77.71 crore, the program has benefited more than 20,000 individuals and indirectly impacted 80,000 more by providing WASH facilities in their households.

Sa-Dhan also conducted a study to understand the various climate dynamics regarding WASH financing. The study helped to explore multiple climate-friendly and economical products that would be affordable and sustainable for the marginalised community.

AREA-WISE DISTRIBUTION



PRODUCT WISE DISTRIBUTION



In the Water & Sanitation portfolio, the distribution of loan products is 28% by Water, 41 % by Sanitation, 29% by Water & Sanitation and 2% by Water Quality

Climate Study

Sa-Dhan is undertaking a comprehensive study to assess the resilience of financial institutions and microfinance clients to climate risks and vulnerabilities. The study is divided into two phases:

The first phase emphasises the “Sustainable Finance Landscaping Survey,” and the second phase emphasises “Measuring the resilience of Small and marginal Farmers against the impacts of climate change.”

The purpose of the first phase would be to gather insights into the current state of sustainable finance in the sector. Sa-Dhan defines sustainable finance as loans and insurance products the organisation provides to its customers to drive the adoption of environmentally sustainable solutions such as renewable energy, electric vehicles, climate-smart agriculture practices, WASH loans, weather index-based insurance products, biogas plants, etc.



Expanding Access to Climate-Resilient Agricultural Technologies

Sa-Dhan is extensively engaged in understanding the climate challenges and exploring various solutions to mitigate the climate risk. To support underprivileged communities such as small and marginal farmers in mitigating climate risk challenges, Sa-Dhan is extensively working with MFIs to provide them with technologies for sustainable livelihood. Last year, as a pilot, two technologies, with the help of MFI partners, were incorporated, namely Micro Irrigation and Bio Digestor, in the geographies of Maharashtra and Gujarat. Both climate-resilient technologies are well appreciated and adopted by clients.

Sa-Dhan will undertake activities to support small and marginal farmers across various states in India, including Uttar Pradesh, Odisha, Gujarat, Bihar, Karnataka, and Maharashtra. In the respective states, Sa-Dhan is exploring ten additional climate-resilient technologies that will ensure farmers' sustainable livelihoods, enhance agricultural productivity, and elevate the overall socioeconomic status of farmers by improving access to essential services like education, healthcare, etc. In addition to supporting Microfinance Institutions (MFIs), Sa-Dhan liaises with various financial institutions such as Public & Private. Banks, Small Finance Banks, NBFCs, and Impact Investors extend lines of credit to the MFIs to bring liquidity to the domain.

With the support of GIZ and Sustain Plus, Sa-Dhan organised a workshop at BIRD, Lucknow, to promote initiatives to mitigate the impact of climate change. The workshop showcased products such as the Solar Irrigation System with Drip and Mulch, methods for creating fuel and natural fertilisers from animal manure, metered application of pesticides/organic pesticides for increased productivity and reduced soil degradation, the Mivipro system for preventing animal-human conflict, and organic hydrogel for managing water scarcity and optimising fertiliser usage. These products are designed to help farmers improve their livelihoods and standard of living.

Empowering Women Entrepreneurs with WE-LEAD

Sa-Dhan is implementing the "Women Entrepreneurship Livelihood Enhancement and Development (WE-LEAD)" supported by SIDBI in Gujarat and Tamil Nadu. This initiative is dedicated to empowering women entrepreneurs with a vision to enhance their livelihood activities and elevate their standard of living. Over 24 months, Sa-Dhan will embark on a journey to support female entrepreneurs in these regions. The approach begins with a comprehensive baseline survey to understand current activities and future commercial prospects. A robust training program targeting 10,400 women beneficiaries from both states, focusing on SC/ST beneficiaries and upcoming entrepreneurs. Through diligent handhold support, Sa-Dhan will ensure effectiveness while devising a replication strategy for potential expansion.



Empowering Women Entrepreneurs through Formal Financing in NRLM

Sa-Dhan initiated a transformative project to enable formal financing to women-led enterprises in the National Rural Livelihoods Mission (NRLM). Through this initiative, Sa-Dhan will provide Technical Assistance (TA) to seven SRLMs, the first phase with 4 SRLMs, i.e. West Bengal, Assam, Chhattisgarh and Jharkhand and moving forward with others 3 in the upcoming phase, working at national, state, and district levels to enhance implementation architecture. The focus will be on empowering women entrepreneurs by facilitating their transition from SHG-Bank linkages to Enterprise-Bank linkages, thereby opening doors to larger loans and formal sources of finance.

This project directly contributes to increasing women's access to credit, ensuring steady cash flows and working capital for women-led enterprises. Sa-Dhan aims to boost women's incomes by 50%, diversify financial products and services, and enhance credit and enterprise financing delivery channels.

The project is funded by the Bill and Melinda Gates Foundation (BMGF) and employs people in the field to implement the project



Study on Women-Owned Micro Business

Sa-Dhan is undertaking a comprehensive study along with Micro Save Consulting (MSC) and funded by JPMorgan Chase to understand the challenges faced by female entrepreneurs operating in urban and peri-urban areas across six states in India: Maharashtra, Telangana, Karnataka, Tamil Nadu, Gujarat and Delhi NCR. Through a blend of quantitative surveys and qualitative interviews, the study aims to gain valuable insights into the specific dynamics, behaviours, and critical success factors influencing the financial health of these enterprises.

With a targeted approach, the study aims to engage with more than 1400 women entrepreneurs who have been independently running businesses for 2-3 years, catering to diverse sectors and regions. By analysing their experiences, aspirations, and challenges, the research endeavours to identify strategic interventions and support mechanisms to bolster women-owned micro-businesses' resilience and sustainability. By fostering a deeper understanding of the nuances within this segment, Sa-Dhan will aspire to pave the way for tailored solutions that empower female entrepreneurs to thrive and contribute significantly to India's economic landscape. Stay tuned for updates on this impactful study as it progresses towards its goal of driving positive change and empowerment within the micro-business ecosystem.

Developing a Health Loan Product for the people at the BOP:

In collaboration with Medoplus, a company facilitating medical care for rural people, Sa-Dhan won an Award under the Entrepreneurs for Resilience Award category hosted by the Swiss Re Foundation, Zurich. The award money will be used to develop a health loan product for rural people that could be administered through MFIs and other lending institutions.

Sa-Dhan and MedoPlus, through an MOU, aim to offer timely healthcare opportunities to rural villagers. One primary goal is to team up with various financial institutions to extend health loans to the marginalised sections of society. The product design phase is on.

The aim is to create a product which can administered through financial institutions like MFIs by extending an immediate credit facility at the time of need. The project is funded by the Swiss Re Foundation.





GLIMPSES OF **KEY ACTIVITIES** IN THE YEAR 2023 - 2024





G

New Members

Sa-Dhan is India's first and largest association of community development finance institutions, formed on 21 July 1999. It has 220 members working in 33 states/UTs and over 600 districts, including for-profit and not-for-profit MFIs, SHG promoting institutions, banks, rating agencies, capacity-building institutions, etc. The list of members is given in the Annexure. Following are the new members who joined Sa-Dhan in 2023 -24.

Sl. No.	Name of the Organization	Type of Institution	State	Activity being done
1	Avanti Finance Private Limited	NBFC	Karnataka	MFI
2	KBS Local Area Bank Limited	Company	Telangana	Bank
3	M-Swasth Solutions Private Limited	Company	Haryana	Capacity Building Programme
4	Dia Vikas Capital Private Limited	Company	Haryana	Investor
5	Velicham Finance Private Limited	NBFC	Tamil Nadu	MFI
6	Palli Pragoti Financial Services Private Limited	NBFC	West Bengal	MFI
7	Travancore Rural Development Producer Company Limited (TRAVANCO)	Company	Kerala	Self Help Promotion Institutions

Sl. No.	Name of the Organization	Type of Institution	State	Activity being done
8	Dvara Kshetriya Gramin Financial Services Private Limited	NBFC	Tamil Nadu	Microfinance
9	Ujjivan Small Finance Bank	Bank	Karnataka	Bank
10	Ajaaya Development Foundation	Sec. 8 Com	Tamil Nadu	Microfinance
11	PAFT Inclusive Financial Services Private Limited	Company	Tamil Nadu	Business Correspondent
12	Grey Swift Private Limited (Leegality)	Company	Haryana	Capacity Building Programme
13	Sindhuja Microcredit Private Limited	NBFC - MFI	Uttar Pradesh	Microfinance
14	ASD Micro Foundation	Sec. 8 Com	Uttar Pradesh	Microfinance
15	Bargach Finance Private Limited	Company	West Bengal	Business Correspondent
16	L&T Finance Limited	NBFC	Maharashtra	Microfinance
17	Visionfund India Private Limited	NBFC - MFI	Tamil Nadu	Microfinance
18	Jagaran Microfin Private Limited	NBFC - MFI	West Bengal	Microfinance
19	Belstar Microfinance Limited	NBFC - MFI	Tamil Nadu	Microfinance

Sl. No.	Name of the Organization	Type of Institution	State	Activity being done
20	Sree Annai Meenashi Arakattalai	Trust	Tamil Nadu	Microfinance
21	Sub-K IMPACT Solutions Limited	Company	Telangana	Business Correspondent
22	Sneha Mutually Aided Co-Operative Thrift and Credit Society Limited	Co-operative	Andhra Pradesh	Microfinance
23	Rural Improvement Project	Trust	Tamil Nadu	Self-Help Group Programme
24	Swabhimaan Finance Private Limited	Company	Uttar Pradesh	Business Correspondent
25	Kaleidofin Private Limited	Company	Tamil Nadu	Capacity Building Programme
26	Srifin Credit Private Limited	NBFC - MFI	Telangana	Business Correspondent
27	Sampurna Financial Services Private Limited	Company	West Bengal	Business Correspondent
28	Worth - Rich Micro Foundation	Sec. 8 Com	Telangana	Microfinance
29	CreditAccess Life Insurance	Company	Karnataka	Insurance Companies
30	Pradakshana Fintech Private Limited	NBFC	Telangana	Business Correspondent
31	Zylo Micro Care Foundation	Sec. 8 Com	Delhi	Microfinance

Sl. No.	Name of the Organization	Type of Institution	State	Activity being done
32	Subiksham Grameen	Society Society	Tamil Nadu	Microfinance
33	Magenta Finance Services Private Limited	NBFC - MFI	Delhi	Microfinance
34	Sabrimala Fintech Private Limited	NBFC	Odisha	Microfinance
35	Subhlakshmi Finance Private Limited	NBFC	Haryana	Microfinance
36	TUVIS Foundation	Sec. 8 Com	Maharashtra	Microfinance



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Annual General Meeting

Sa-Dhan celebrated its 25th Annual General Meeting (AGM) at Kochi (Kerala). The meeting commenced the silver jubilee celebrations of Sa-Dhan. The Meeting reviewed the overall performance of the microfinance sector in the country, especially the return to growth after the COVID pandemic, the impact of the new regulatory norms introduced by the RBI on 1 April 2022, the plans of MFIs this year, the activities of Sa-Dhan as an association and the developmental activities initiated by Sa-Dhan such as the financial literacy programme. The members approved the new mandate of Sa-Dhan, an association of Impact Finance Institutions, whereby all impact players other than MFIs are also brought under its fold, and a comprehensive development strategy is provided to the poorer people. The new vision, mission and goals were presented, and the members concurred.

After the usual business, elections were held to fill the vacant slots in the Board of Governance. The following members were elected to fill the vacancy of retiring members;

Mr. K. Paul Thomas (Co-Chair)	Mr. Anup Kumar Singh
Ms. Arpita Pal Agrawal	Dr. H. L. Manjunath

After the AGM, the newly constituted Board met and elected the office bearers. Accordingly, Mr Paul Thomas, Founder of ESAF Group of Social Enterprises, is the second Co-Chair along with Ms Jayshree Vyas, CEO of SEWA. Mr H P Singh, CEO of Satin Creditcare, continued as the Chairperson of Sa-Dhan, and Mr Sadaf Sayeed, CEO of Muthoot Microfin, was chosen as the new Treasurer. Ms Arpita Agrawal, MD & CEO of Dia Vikas Capital, Dr L H Manjunath, ED, SKDRDP, and Mr Anup Singh, MD, Sonata Finance joined as the new Board Members and Mr Royston Braganza was elected for his second term. Their valuable insights and experience will contribute significantly to the cause of microfinance and financial inclusion.

Sa-Dhan had its Board and Board Committee meetings regularly per the mandate. Following are the details of the Board meetings held during this year:

Sl. No.	Date of the Meeting	Total Members	Present	Not Present
1	15th June, 202314	14	13	1
2	14th September, 2023	14	10	4
3	14th December 2023	14	11	3
4	20th March 2024	14	11	3

Sa-Dhan
Fostering Inclusive Impact Finance

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Other Developments in the Sector

- **Study tour to Bangladesh**: Sa-Dhan was part of a delegation from AMFI that travelled to Bangladesh to learn about the microfinance movement in the country and replicate some of the learnings in India. Based on the visit, a Policy note was submitted to the RBI with a request to start an exclusive funding window for small MFIs.
- **Relationship Building with Other State-Level Associations**: Throughout the year, Sa-Dhan closely liaised with state-level associations like AKMI, UPMA, AMFI, KASAFI, and OSAFI. Sa-Dhan actively participated in the programmes organised by AKMI in Bengaluru, UPMA in Lucknow, OSAFII in Bhubaneshwar, and AMFI in West Bengal.
- **Participation in the National Conclave on Social Sector Advancement**: Sa-Dhan participated in the National Conclave at Bangalore, organised by the Dhwani Foundation and the Centre for Youth and Social Development (CYSD). Over twenty top social sector leaders in the country enthusiastically participated, sharing insights on the functioning of their federations.
- **Participation in the National Financial Inclusion Programme**: Sa-Dhan joined the 2nd National Financial Inclusion for North East organised by ASSOCHAM as a Speaker. The programme was well attended. It was an honour for Sa-Dhan to address the audience before the Finance Secretary, ED-SEBI, ED-PFRDA and many other respectable guests.
- **Client Consultation Meet of BIRD, Lucknow at Kolkata**: Sa-Dhan was a part of the BIRD meeting in Kolkata. Sa-Dhan suggested that customised programmes for different MFIs could be considered, and Sa Dhan will help connect with the MFIs in the region, most of whom are very small in size. Programmes on Risk Management, HR, Team building and leadership for the MFI sector would be of great interest.



J

Media & Communications

Sa-Dhan's coverage in the media has increased significantly through press releases, commentary, and articles. Sa-Dhan engaged and interacted with the local media in Kochi, Jaipur, Chandigarh, and Guwahati. Sa-Dhan held press conferences and briefed the media about the positive impact created by the MFIs in these areas. The press conferences were covered well by print and television journalists. Sa-Dhan regularly shares press releases on the quarterly reports and frequently addresses the media regarding pressing sector issues.

Print & Social Media Clipping





Members List

Andhra Pradesh

- Sneha Mutually Aided Co-Operative Thrift and Credit Society Ltd.

Arunachal Pradesh

- Arunachal State Rural Livelihoods Mission (ArSRLM)

Assam

- Ajagar Finance Pvt. Ltd.
- Grameen Development & Finance Pvt. Ltd.
- Nightingale Finvest Pvt. Ltd.
- Prochesta
- Satra Development Finance Pvt. Ltd.
- UNACCO Financial Services Pvt. Ltd.

Bihar

- Centre For Development Orientation & Training (CDOT)
- Sahyog Development Services
- Save Microfinance Pvt. Ltd.
- SEED Capital Pvt. Ltd.

Chandigarh

- Aadhar India Finvest Limited
- Chhattisgarh
- Aviral Finance Pvt. Ltd.

Delhi

- Ambition Services Pvt. Ltd.
- KSR Capital Services Ltd.
- Magenta Finance Services Pvt. Ltd.

- Micro-Credit Ratings International Ltd.
- MUTHOOT MICROFIN Ltd.
- National Scheduled Castes Finance and Development Corporation
- Prayatna Microfinance Ltd.
- Sahulat Microfinance Society
- Satya MicroCapital Ltd.
- Shikhar MF Pvt. Ltd.
- Unnayan Bharat Finance Corporation Pvt. Ltd. (UBFC)
- Zylo Micro Care Foundation

Gujarat

- Ananya Finance For Inclusive Growth Pvt.Ltd.
- Ceejay Microfin Ltd.
- Friends of Women's World Banking India (FWWB)
- Pahal Financial Services Pvt. Ltd.
- Prayas Financial Services Pvt. Ltd.
- Saath Mahila Savings & Credit Cooperative Society Ltd.
- SEWA Bank
- Shroff Capital and Finance Pvt. Ltd.
- The Saath Savings and Credit Cooperative Society Ltd.

Haryana

- Care Health Insurance Company Ltd.
- Dia Vikas Capital Private Ltd.
- Grey Swift Private Limited (Leegality)
- Mitrata Inclusive Financial Services Pvt. Ltd.
- M-Swasth Solutions Pvt. Ltd.
- Prime M2i Consulting Pvt. Ltd.
- Satin Creditcare Network Ltd.
- Subhlakshmi Finance Pvt. Ltd.

Jharkhand

- Nav Bharat Jagriti Kendra (NBJK)
- Vedika Credit Capital Ltd.

Karnataka

- ACCION Technical Advisors India
- Avanti Finance Pvt. Ltd.

- BSS Microfinance Ltd.
- CreditAccess Life Insurance
- IDF Financial Services Pvt. Ltd.
- IIFL Samasta Microfinance Ltd.
- Jana Small Finance Bank
- NABFINS Ltd.
- Navachetana Microfin Services Ltd.
- Opportunity Microfinance India Ltd.
- Outreach
- Rors Finance Pvt. Ltd.
- Sanghamithra Rural Financial Services
- Shree Marikamba Micro Finance Pvt. Ltd.
- Shri Kshethra Dharmasthala Rural Development Project (SKDRDP)
- Sushravya Upliftment Foundation
- Ujjivan Small Finance Bank
- VRUTTI

Kerala

- Asirvad Microfinance Ltd.
- ESAF Small Finance Bank
- Janashree Microfin Ltd.
- Jeevankiran
- Keshava Prabha Microfin Pvt. Ltd.
- Mahatma Gandhi Foundation for Rural Development
- Max United Foundation
- Neyyattinkara Integral Development Society
- Sahrudaya Wesco Credit
- Satyam Grama Sangham
- Travancore Rural Development Producer Company Ltd. (TRAVANCO)
- Vanchinad Finance Pvt. Ltd.
- Welfare Services Ernakulam

Madhya Pradesh

- Aparajita Mahila Sangh
- Jigyasa Livelihood Promotions Micro Finance Foundation
- Priyasakhi Mahila Sangh
- Sai Shakti Mahila Technical & development Services Majholi
- Samhita Community Development Services
- Shakti Mahila Sangh
- Sharan Welfare Foundation

Maharashtra

- AGORA Microfinance India Ltd.
- Anik Financial Services Pvt. Ltd.
- Annapurna Mahila Co-op Credit Society Ltd.
- Bajaj Finance Ltd.
- Chaitanya
- Equifax Credit Information Services Pvt. Ltd.
- Fingel Management Services Pvt. Ltd.
- Grameen Capital
- Hindusthan Microfinance Pvt. Ltd.
- Institute of Rural Credit and entrepreneurship development (IRCED)
- L&T FINANCE LTD.
- Mahila arthik Vikas Mahamandal Ltd. (MAVIM)
- NABSAMRUDDHI Finance Ltd.
- RBL Bank Ltd.
- Sampada Entrepreneurship & Livelihoods Foundation
- Smera Gradings & Ratings Pvt. Ltd.
- Svamaan Financial Services Pvt. Ltd.
- Svantantra Microfinance Pvt. Ltd.
- Svasti Microfinance Pvt. Ltd.
- Swadhaar Finaccess
- TransUnion CIBIL Ltd.
- TUVIS Foundation
- Unity Small Finance Bank Ltd.
- Unnati Microfin Pvt. Ltd.

Manipur

- Chanura Microfin Manipur (CMM)
- SEVA Manipur
- Socio Economic Action Trust (SEAT)
- The Leima Thrift & Credit Co-operative Society Ltd.
- YVU Financial Service

Odisha

- ADHIKAR
- Adhikar Microfinance Pvt. Ltd.
- Annapurna Finance Pvt. Ltd.
- Centre for Youth & Social Development (CYSD)
- Glowmore Finance Pvt. Ltd.

GU Financial Services Pvt. Ltd.

Sabrimala Fintech Pvt. Ltd.

Sampark Fin Services Pvt. Ltd.

Punjab

Midland Microfin Ltd.

Rajasthan

Arth Micro Finance Pvt. Ltd.

Digamber Capfin Ltd.

Rajasthan Shram Sarathi Association

Tamil Nadu

A John Moris & Co

Ajaaya Development Foundation

Belstar Microfinance Ltd.

Bharathi Women Development Centre

Blaze Trust

Bullock-Cart Workers Development association (BWDA)

BWDA Finance Ltd.

Citta Plus Consultancy Pvt. Ltd.

Consortium for Social Care and Development

Dvara Kshetriya Gramin Financial Services Pvt. Ltd.

Equitas Small Finance Bank

Finsigma Inclusive Services Pvt. Ltd.

Gramalaya Microfin Foundation

Grameen Microfinance Trust

Innovative microfinance for poverty alleviation and Community transformation (IMPACT)

Kaleidofin Pvt. Ltd.

Kiara Microcredit Pvt. Ltd.

LaRaksha Social Impact Trust

Magalir Micro Capital Pvt. Ltd.

Magilchi Foundation

Mahasemam

MASS Trust

Nanayasurabhi Development Financial Services

New Opportunity Consultancy Pvt. Ltd.

- Orange Retail Finance India Pvt. Ltd.
- PAFT FINANCE LTD.
- PAFT Inclusive Financial Services Pvt. Ltd.
- People's Action for Transformation (PAT)
- REPCO Microfinance Ltd.
- Rural Improvement Project
- Sai Mithra Micro Care Foundation
- Samunnati Financial Intermediation and Service Private Limited
- Sarvam Charitable Trust
- Sarvodaya Nano Finance Ltd.
- Sigaram Trust
- South India Finvest Pvt. Ltd.
- Sree Annai Meenashi Arakattalai
- Subiksham Grameen Society
- Subiksham Women's Welfare Foundation
- Swarnodhayam Credits Pvt. Ltd.
- Valar Aditi Social Finance Pvt. Ltd.
- Velicham Finance Pvt. Ltd.
- Virutcham Microfinance Ltd. (VML)
- Vision Micro credit and social foundation
- Visionfund India Pvt. Ltd.
- Vivardhana Microfinance Ltd.
- Water.org
- Wesghats Micro Finance Limited
- WOMAN

Telangana

- Bharat Financial Inclusion Limited
- IndusInd Bank Ltd.
- KBS Local Area Bank Ltd.
- Maanaveeya Holdings & Investments Pvt. Ltd.
- Pradakshana Fintech Pvt. Ltd.
- Pragati Finserv Pvt. Ltd.
- Share Microfin Ltd.
- Spandana Sphoorty Financial Ltd.
- Srifin Credit Pvt. Ltd.
- Sub-K IMPACT Solutions Ltd.
- Worth - Rich Micro Foundation

Uttar Pradesh

- Aasra Fincorp Pvt. Ltd.
- AJIVIKA FINANCE LTD.
- ASD Micro Foundation
- Cashpor Micro Credit
- Disha India Micro Credit
- Friends Capital Services Ltd.
- Godson Microfinance Federation
- IQRA Microfinance Federation
- PRADAN
- Pratyancha Financial Services Ltd.
- Samavesh Finserve Pvt. Ltd.
- Share India Fincap Pvt. Ltd.
- Sindhuja Microcredit Pvt. Ltd.
- Sonata Finance Pvt. Ltd.
- Surya Jyoti Leasing and Finance Ltd.
- Swabhimaan Finance Pvt. Ltd.

Uttarakhand

- Info Microcredit Co-operative Society (IMCS)

West Bengal

- ASA International India Microfinance Limited
- Barasat Sampark
- Bargach Finance Pvt. Ltd.
- DESTINY FINCO Pvt. Ltd.
- Dhosa Chandaneswar Bratyajana Samity
- Grameen Shakti Microfinance Services Pvt. Ltd.
- Jagaran Microfin Pvt. Ltd.
- Jeevan Utthan Financial Services Pvt. Ltd.
- Palli Pragoti Financial Services Pvt. Ltd.
- Sahara Utsarga Welfare Society
- Sampurna Financial Services Pvt. Ltd.
- Sampurna Training and Entrepreneurship Programme (STEP)
- Sarala Development & Microfinance Pvt. Ltd.
- Sarwadi Finance Pvt. Ltd.
- Servitium Micro Finance Pvt. Ltd.
- Uttrayan Financial Services Pvt. Ltd

Vector Finance Pvt. Ltd.
VFS Capital Ltd.
Village Welfare Society (VWS)
Wegrow Financial Services Pvt. Ltd.

V. SANKAR AIYAR & CO.
CHARTERED ACCOUNTANTS
Sarojini House, 6 Bhagwan Das Road, New Delhi – 110001
Tel. (011) 4474 4643 / 4515 0845; e-mail: newdelhi@vsa.co.in

Independent Auditors' Report

TO THE MEMBERS OF SA-DHAN ASSOCIATION

1. **Opinion**

We have audited the financial statements of **SA-DHAN ASSOCIATION**, which comprise the Balance Sheet as at 31 March 2024 and the statement of Income and Expenditure Account for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the financial statements, read with other notes given thereto, give a true and fair view in conformity with the accounting principles generally accepted in India:

i) in the case of the Balance Sheet, of the state of affairs of the Society as at 31 March 2024; and

ii) in the case of the Income and Expenditure Account, of the surplus for the year ended on that date.

2. **Basis for Opinion**

We conducted our audit in accordance with the Standards on Auditing (SAs) issued by ICAI. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Society in accordance with the Code of Ethics issued by Institute of Chartered Accountants of India (ICAI) together with the ethical requirements that are relevant to our audit of financial statements, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethic. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

3. **Responsibilities of management for the financial statements**

Management is responsible for the preparation of these financial statements that give a true and fair view of the financial position and financial performance, of the Society in accordance with the accounting principles generally accepted in India, including the accounting standards issued by ICAI, to the extent applicable. This responsibility also includes maintenance of adequate accounting records for safeguarding of the assets of the Society and for preventing and detecting frauds and other irregularities; selection and application of appropriate implementation and maintenance of accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statement that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Society's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Society or to cease operations, or has no realistic alternative but to do so.

Management is responsible for overseeing the Society's financial reporting process.

4. **Auditors' responsibility for the audit of the financial statements**

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatement can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

V. SANKAR AIYAR & CO. NEW DELHI FRN 109208W CHARTERED ACCOUNTANTS

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Society's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Society's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Society to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

5. Other matters

We report that:

a) We have sought and obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purpose of our audit;
b) In our opinion proper books of account have been kept by the Society so far as appears from our examination of those books; and
c) The Balance Sheet and Income and Expenditure Account dealt with by this report agree with the books of accounts;

For V. Sankar Aiyar & Co.
Chartered Accountants
(Firm Regn. No.: 109208W)

V. SANKAR AIYAR & CO. NEW DELHI FRN 109208W CHARTERED ACCOUNTANTS

M.S. BALACHANDRAN
Partner (M. No: 024282)
UDIN: 24024282BKEXVD8547

Place: New Delhi
Dated: 20 June 2024

Sa-Dhan
Fostering Inclusive Impact Finance

SA-DHAN ASSOCIATION
BALANCE SHEET AS AT MARCH 31, 2024

PARTICULARS	SCHD. NO.		MARCH 31, 2024		MARCH 31, 2023
SOURCES OF FUNDS					
Corpus Funds	1		6,90,24,660		6,48,39,660
Restricted Funds	2		9,01,96,149		22,36,701
Unrestricted Funds	3		5,18,51,778		3,17,89,909
Capital Asset Fund	4		10,75,683		4,80,335
			21,21,48,270		**9,93,46,605**
APPLICATION OF FUNDS					
Fixed Assets (at cost less depreciation)	5		10,75,683		4,80,335
Investments	6		6,86,89,070		5,21,31,431
Current Assets, Loans and Advances (A)	7	15,12,32,414		4,91,28,524	
Current Liabilities (B)	8	88,48,897		23,93,686	
Net Current Assets (A-B)			14,23,83,517		4,67,34,838
			21,21,48,270		**9,93,46,605**

As per our Report of even date
For V. Sankar Aiyar & Co.
Chartered Accountants
ICAI FRN: 109208W

V. SANKAR AIYAR & CO. NEW DELHI FRN 109208W CHARTERED ACCOUNTANTS

M. S. Balachandran
Partner
M.No. 024282

Place : New Delhi
Date : 20th June 2024

For and on behalf of Board
Sa-Dhan

Sadaf Sayeed
Treasurer

HP Singh
Chairperson

Jiji Mammen
Executive Director & CEO

SA-DHAN A-226, 1st Floor, Safdarjung Enclave, N.D.-29

Sa-Dhan
Fostering Inclusive Impact Finance

SA-DHAN ASSOCIATION
INCOME & EXPENDITURE ACCOUNT FOR THE YEAR ENDED MARCH 31, 2024

PARTICULARS	SCHD. NO.		MARCH 31, 2024		MARCH 31, 2023
INCOME					
Grants and Contributions Received	9		6,35,49,965		2,40,78,736
Consulting Services Conduct RBI DEA Workshop			7,71,43,096		-
Membership Fee			3,15,84,407		2,00,59,000
Interest Income			72,11,527		48,62,830
Voluntary Contributions			67,50,750		45,85,000
Fees from Activities			21,71,683		58,14,641
Participation and Training Fees			22,90,344		12,11,799
Other Income			2,81,361		63,273
			19,09,83,133		**6,06,75,279**
EXPENDITURE					
PROGRAMME EXPENDITURE:					
Member Development Support & CBEO	10	5,94,08,224		2,68,71,586	
RBI DEA Workshop	11	6,22,68,825		-	
Policy Advocacy & Sector Representation	12	2,52,20,749		1,62,41,944	
Self Regulatory Organisation Activities	13	61,91,010		59,95,813	
Research & Analysis	14	31,24,097		26,26,355	
Administration Expenses	15	1,50,60,125	17,12,73,030	53,43,425	5,70,79,123
Depreciation		(1,63,824)		(85,806)	
Less: Transfer from Capital Assets Fund		1,63,824	-	85,806	-
Transferred to Capital Assets Fund (Purchase of FA)			9,93,351		99,309
			17,22,66,381		**5,71,78,432**
Excess of Income over Expenditure for the year			**1,87,16,752**		**34,96,847**
Taken to Unrestricted Funds (Sch-3)			2,00,61,869		69,18,051
Taken to Restricted Funds (Sch-2)			(13,45,117)		(34,21,204)
			1,87,16,752		**34,96,847**
			-		-

As per our Report of even date
For V. Sankar Aiyar & Co.
Chartered Accountants
ICAI FRN: 109208W

V. SANKAR AIYAR & CO. NEW DELHI FRN 109208W CHARTERED ACCOUNTANTS

M. S. Balachandran
Partner

Place : New Delhi
Date : 20th June 2024

For and on behalf of Board
Sa-Dhan

Sadaf Sayeed
Treasurer

HP Singh
Chairperson

Jiji Mammen
Executive Director & CEO

SA-DHAN Sa-Dhan A-326, 1st Floor, Safdarjung Enclave, N. D.-29

Sa-Dhan
Fostering Inclusive Impact Finance

SA-DHAN ASSOCIATION
SCHEDULE TO BALANCE SHEET AS AT MARCH 31, 2024

PARTICULARS	MARCH 31, 2024	MARCH 31, 2023
SCHEDULE 1 : CORPUS FUND		
The Ford Foundation	2,29,52,160	2,29,52,160
Corpus from Omidyar Network	2,18,95,000	2,18,95,000
Corpus from Members	2,30,56,500	1,88,71,500
Sa-Dhan's Contribution to Corpus Fund	11,21,000	11,21,000
	6,90,24,660	**6,48,39,660**
SCHEDULE 2 : RESTRICTED FUND		
Opening Balance	22,36,701	56,57,905
Add: Fund received during the year *	20,90,17,712	1,60,55,378
Less: Amount utilised during the year	(12,10,58,264)	(1,94,76,582)
	9,01,96,149	**22,36,701**
SCHEDULE 3 : UNRESTRICTED FUND		
Opening Balance	3,17,89,909	2,48,71,858
Add: Fund received during the year	7,12,69,986	4,46,19,901
Less: Amount utilised during the year	(5,12,08,117)	(3,77,01,850)
	5,18,51,778	**3,17,89,909**
SCHEDULE 4 : CAPITAL ASSETS FUND		
Opening Balance	4,80,335	4,98,189
Add: Addition to Fixed Assets	9,93,351	99,309
Add : Deletion of Assets at WDV	(2,34,180)	(31,357)
Less : Depreciation for the year	(1,63,824)	(85,806)
	10,75,683	**4,80,335**

* Funds received during the year includes amount to be spent in subsequent years Rs. 8,93,04,565/-.

As per our Report of even date
For V. Sankar Aiyar & Co.
Chartered Accountants
ICAI FRN: 109208W

V. SANKAR AIYAR & CO. NEW DELHI FRN 109208W CHARTERED ACCOUNTANTS

M. S. Balachandran
Partner
M.No. 024282

Place : New Delhi
Date : 20th June 2024

For and on behalf of Board
Sa-Dhan

Sadaf Sayeed
Treasurer

HP Singh
Chairperson

Jiji Mammen
Executive Director & CEO

SA-DHAN A1-226, 1st Floor, Safdarjung Enclave, N. D.-29 Sa-Dhan

Sa-Dhan
Fostering Inclusive Impact Finance

SA-DHAN ASSOCIATION
SCHEDULE TO BALANCE SHEET AS AT MARCH 31, 2024

SCHEDULE 5: FIXED ASSETS

PARTICULARS	GROSS BLOCK						DEPRECIATION				NET BLOCK	
	As At 01.04.2023	more than 180 days	less than 180 days	Deletion	As At 31.03.2024	Rate of Dep.	As At 01.04.2023	For the year	Written back	As At 31.03.2024	As At 31.03.2024	As At 01.04.2023
FOREIGN FUNDS												
Professional Equipment	5,22,324	-	-	73,032	4,49,292		5,11,324	-	73,032	4,38,292	11,000	11,000
Office Equipment	1,38,484	-	-	1,04,285	34,200		1,32,484	-	1,00,285	32,200	2,000	6,000
Furniture & Fixture	2,11,857	-	-	1,89,917	21,940		2,07,857	-	1,87,917	19,940	2,000	4,000
Sub Total [A]	**8,72,665**	**-**	**-**	**3,67,233**	**5,05,432**	**-**	**8,51,665**	**-**	**3,61,233**	**4,90,432**	**15,000**	**21,000**
INDIAN FUNDS												
Professional Equipment	14,43,036	1,59,654	4,75,068	13,30,056	7,47,702	16.21%	13,07,418	1,13,065	13,03,041	1,17,442	6,30,260	1,35,618
Office Equipment	5,88,886	31,270	2,39,862	2,99,757	5,60,261	4.77%	3,04,261	40,277	1,29,972	2,14,566	3,45,695	2,84,625
Furniture & Fixture	1,67,581		87,497	1,67,581	87,497	6.33%	1,28,488	10,482	1,36,201	2,769	84,728	39,093
Sub Total [B]	**21,99,503**	**1,90,924**	**8,02,427**	**17,97,394**	**13,95,460**		**17,40,168**	**1,63,824**	**15,69,214**	**3,34,777**	**10,60,683**	**4,59,335**
TOTAL [A+B]	**30,72,168**	**1,90,924**	**8,02,427**	**21,64,627**	**19,00,892**		**25,91,832**	**1,63,824**	**19,30,448**	**8,25,209**	**10,75,683**	**4,80,336**

As per our Report of even date
For V. Sankar Aiyar & Co.
Chartered Accountants
ICAI FRN: 109208W

V. SANKAR AIYAR & CO. NEW DELHI FRN 109208W CHARTERED ACCOUNTANTS

M. S. Balachandran
Partner
M.No. 024282

Place : New Delhi
Date : 20th June 2024

For and on behalf of Board
Sa-Dhan

Sadaf Sayeed
Treasurer

HP Singh
Chairperson

Jiji Mammen
Executive Director & CEO

SA-DHAN 20-A, 1st Floor, Safdarjung Enclave, N. D. Sa-Dhan

Sa-Dhan
Fostering Inclusive Impact Finance

SA-DHAN ASSOCIATION
SCHEDULE TO BALANCE SHEET AS AT MARCH 31, 2024

PARTICULARS		MARCH 31, 2024		MARCH 31, 2023
SCHEDULE 6 : INVESTMENTS				
In Fixed Deposits with Banks		6,36,08,261		7,26,581
In Fixed Deposits with NBFCs		-		5,14,04,850
In Mutual Funds (NAV Rs. 53,81,958)		50,80,809		-
* Includes with approved NBFC Rs. NIL (PY 5,14,04,850)				
		6,86,89,070		**5,21,31,431**
SCHEDULE 7 : CURRENT ASSETS, LOANS & ADVANCES				
Current Assets				
Bank Balances (In Savings and Current Accounts)	12,96,74,221		3,10,13,169	
Quantum Deposit with Bank	58,30,934		35,66,720	
Cash on hand	11,539		7,330	
Silver Bars	17,184	13,55,33,878	-	3,45,87,219
Loans and Advances				
TDS Recoverable	94,12,029		73,77,750	
GST	1,40,030		-	
Security Deposits (Office premises)	6,00,000		2,26,500	
Accrued Interest	8,13,103		18,64,340	
Amount Recoverable	20,000		4,06,901	
Other Receivables	30,31,529		31,14,020	
Advance to Vendors	28,252		-	
Plan Assets against Gratuity liability	13,89,593		13,26,795	
Loan to Staff	2,64,000	1,56,98,536	2,25,000	1,45,41,306
		15,12,32,414		**4,91,28,524**
SCHEDULE 8 : CURRENT LIABILITIES AND PROVISIONS				
TDS Payable	12,99,537		4,91,429	
PF Payable	2,26,990		1,96,395	
GST Payable	-		22,677	
Provision for Leave Encashment	40,78,029		-	
LIC group gratuity Fund/Gratuity Payable	13,89,593		13,26,795	
Consultancy Payable	7,04,970		-	
Expenses Payable	11,49,778	88,48,897	3,56,390	23,93,686
		88,48,897		**23,93,686**

As per our Report of even date
For V. Sankar Aiyar & Co.
Chartered Accountants
ICAI FRN: 109208W

V. SANKAR AIYAR & CO. NEW DELHI FRN 109208W CHARTERED ACCOUNTANTS

M. S. Balachandran
Partner
M.No. 024282

Place : New Delhi
Date : 20th June 2024

For and on behalf of Board
Sa-Dhan

Sadaf Sayeed
Treasurer

HP Singh
Chairperson

Jiji Mammen
Executive Director & CEO

SA-DHAN 226, 1st Floor, Safdarjung Enclave, N.D.-29 Sa-Dhan

Sa-Dhan
Fostering Inclusive Impact Finance

SA-DHAN ASSOCIATION

SCHEDULE TO INCOME & EXPENDITURE ACCOUNT FOR THE YEAR ENDED MARCH 31, 2024

PARTICULARS	MARCH 31, 2024	MARCH 31, 2023
SCHEDULE 9 : GRANTS AND CONTRIBUTIONS RECEIVED		
Foreign Contributions	4,11,93,226	1,11,96,878
Indian Contributions		
Contribution from Indian Agencies	13,84,824	5,50,000
Consulting Services Conduct RBI DEA Workshop	7,71,43,096	-
Sponsorship	2,09,71,915	1,23,31,858
	14,06,93,061	**2,40,78,736**
SCHEDULE 10 : MEMBER DEVELOPMENT SUPPORT		
Consultancy Charges	3,63,46,120	91,86,784
Salaries & Benefits	1,39,07,668	93,98,793
Travelling Expenses	41,82,116	33,36,548
Meeting Expenses	26,93,670	33,71,714
Printing & Stationery	14,64,658	15,49,695
Communication Expenses	1,22,171	15,500
Mementos	81,480	10,752
Office Maintenance	1,82,993	-
Miscellaneous Expenses	1,14,398	1,800
Media Advertising Expenses	3,12,950	-
	5,94,08,224	**2,68,71,586**
SCHEDULE 11 : RBI DEA Workshop		
Workshop RBI DEA	6,13,92,825	-
Audit Fees	8,76,000	-
	6,22,68,825	**-**
SCHEDULE 12 : POLICY ADVOCACY & SECTOR REPRESENTATION		
Salaries & Benefits	61,26,370	51,95,225
Meeting Expenses	96,86,961	40,41,307
Consultancy Charges	53,24,100	31,23,555
Travelling Expenses	13,51,229	11,52,766
Printing & Stationery	13,94,301	14,79,924
Communication Expenses	6,96,416	7,85,404
Mementos	3,76,292	3,81,635
Miscellaneous Expenses	2,65,080	82,128
	2,52,20,749	**1,62,41,944**
SCHEDULE 13 : SELF REGULATORY ORGANISATION ACTIVITIES		
Salaries & Benefits	16,79,440	31,47,914
Consultancy Charges	21,68,003	20,74,848
Travelling Expenses	15,42,195	4,61,695
Communication Expenses	57,500	69,393
Printing & Stationery	42,627	2,01,512
Miscellaneous Expenses	-	1,395
Meeting Expenses	6,29,245	39,056
	61,91,010	**59,95,813**

V. SANKARANYAR & CO. NEW DELHI FRN 109208W CHARTERED ACCOUNTANTS

SA-DHAN A1-236, 1st Floor, Saidarjung Enclave, N.D.-29 Sa-Dhan

Sa-Dhan
Fostering Inclusive Impact Finance

SA-DHAN ASSOCIATION

SCHEDULE TO INCOME & EXPENDITURE ACCOUNT FOR THE YEAR ENDED MARCH 31, 2024

PARTICULARS	MARCH 31, 2024	MARCH 31, 2023
SCHEDULE 14 : RESEARCH & ANALYSIS		
Consultancy Charges	8,06,996	4,44,623
Salaries & Benefits	17,26,540	16,13,686
Travelling Expenses	64,797	15,012
Printing & Stationery	5,16,604	5,44,534
Communication Expenses	-	8,500
Miscellaneous Expenses	900	-
Media Advertising Expenses	8,260	
	31,24,097	**26,26,355**
SCHEDULE 15 : ADMINISTRATION EXPENSES		
Salaries & Benefits	66,23,734	21,12,190
Office Maintenance	27,62,204	16,08,074
Consultancy Charges	6,20,216	3,78,793
Travelling Expenses	5,23,852	1,02,571
Meeting Expenses	4,07,436	65,420
Miscellaneous Expenses	23,34,728	3,34,346
Communication Expenses	2,53,218	1,67,168
Mementos	7,89,366	-
Repair & Maintenance	1,47,218	1,27,916
Printing & Stationery	2,35,506	1,62,608
Audit Fees	3,39,250	2,79,500
Finance Charges	23,397	4,839
	1,50,60,125	**53,43,425**

As per our Report of even date
For V. Sankar Aiyar & Co.
Chartered Accountants
ICAI FRN: 109208W

V. SANKAR AIYAR & CO. NEW DELHI FRN 109208W CHARTERED ACCOUNTANTS

M. S. Balachandran
Partner
M.No. 024282

Place : New Delhi
Date : 20th June 2024

For and on behalf of Board
Sa-Dhan

Sadaf Sayeed
Treasurer

HP Singh
Chairperson

Jiji Mammen
Executive Director & CEO

SA-DHAN A-I-226, 1st Floor, Safdarjung Enclave, N.D.-29

Sa-Dhan
Fostering Inclusive Impact Finance

SCHEDULE 16

SA-DHAN ASSOCIATION
RECEIPT & PAYMENT ACCOUNT FOR THE YEAR ENDED MARCH 31, 2024

Funding Agency	Opening Balance	Receipts			Payments			Excess of receipts over payments/ (payments over receipts)	Closing Balance trf to Balance Sheet Schedule
		Contribution	Interest & Other Income	Total Receipts	Revenue Expenditure	Capital Expenditure	Total Payments		
(A) Corpus Fund									
a) Foreign Funds									
The Ford Foundation	2,29,52,160	-	-	-	-	-	-	-	2,29,52,160
Omidyar Networks	2,18,95,000	-	-	-	-	-	-	-	2,18,95,000
b) Indian Funds									
Corpus from Members	1,88,71,500	41,85,000	-	41,85,000	-	-	-	-	2,30,56,500
Sa-Dhan's Contribution to Corpus Fund	11,21,000	-	-	-	-	-	-	-	11,21,000
Total Corpus Funds	**6,48,39,660**	**41,85,000**	-	**41,85,000**	-	-	-	-	**6,90,24,660**
(B) Restricted Funds									
a) Indian Funds									
BRLPS	(1,73,664)	1,73,664	-	1,73,664			-	1,73,664	-
Depositors Education Awareness (DEA) Fund Scheme	-	7,71,43,096	-	7,71,43,096	7,71,43,096		7,71,43,096	-	-
GIZ - Climate	-	-	12,08,333	12,08,333	10,68,333		10,68,333	1,40,000	1,40,000
Equifax Study on HR attrition	-	9,84,824	-	9,84,824	3,83,500		3,83,500	6,01,324	6,01,324
SIDBI Microenterprises Gujarat	-	-	-	-	17,44,842		17,44,842	(17,44,842)	(17,44,842)
SIDBI Microenterprises Tamilnadu	-	-	-	-	16,05,028		16,05,028	(16,05,028)	(16,05,028)
Total Indian Restricted Funds(a)	**(1,73,664)**	**7,83,01,584**	**12,08,333**	**7,95,09,917**	**8,19,44,799**	-	**8,19,44,799**	**(24,34,882)**	**(26,08,546)**

V. SANKAR AIYAR & CO. NEW DELHI FRN 109208W CHARTERED ACCOUNTANTS

SA-DHAN A-326, 1st Floor, Safdarjung Enclave, N.D.-29 Sa-Dhan

Sa-Dhan
Fostering Inclusive Impact Finance

Funding Agency	Opening Balance	Receipts			Payments			Excess of receipts over payments/ (payments over receipts)	Closing Balance trf to Balance Sheet Schedule
		Contribution	Interest & Other Income	Total Receipts	Revenue Expenditure	Capital Expenditure	Total Payments		
b) Foreign Funds								-	-
Develop Digital Ecosystem - HSBC 2nd Phase	(2,025)	74,36,000	-	74,36,000	74,33,975	-	74,33,975	2,025	-
Rural Development Organization - WASTE	98,464	9,89,130		9,89,130	10,87,594	-	10,87,594	(98,464)	-
Water.org-WCAD - TN KA	14,79,378	34,48,100	-	34,48,100	28,43,324	-	28,43,324	6,04,776	20,84,154
Water.org- WCAD Pre-Graduate Program	8,36,485	45,30,000	-	45,30,000	38,35,492	-	38,35,492	6,94,508	15,30,993
BMGF -Women Led Enterprises	-	8,98,22,565	-	8,98,22,565	25,36,489	-	25,36,489	8,72,86,076	8,72,86,076
Swiss Re Foundation - Finance Healthcare	-	82,82,000	-	82,82,000	63,67,323	-	63,67,323	19,14,677	19,14,677
JP Morgan - Financial Health of Women	-	1,50,00,000		1,50,00,000	1,50,09,268		1,50,09,268	(9,268)	(9,268)
Total FCRA Restricted Funds (b)	**24,12,302**	**12,95,07,795**	**-**	**12,95,07,795**	**3,91,13,465**	**-**	**3,91,13,465**	**9,03,94,330**	**9,28,06,632**
Total Restricted Funds (a+b)	**22,38,638**	**20,78,09,379**	**12,08,333**	**20,90,17,712**	**12,10,58,264**	**-**	**12,10,58,264**	**8,79,59,448**	**9,01,98,086**
(C) Unrestricted Funds									
a) Indian Funds	3,37,57,563	1,90,13,595	4,78,25,798	6,68,39,393	4,58,42,858	9,93,351	4,68,36,209	2,00,03,184	5,37,60,747
b) Foreign funds	(19,67,654)	10,04,996	34,25,597	44,30,593	43,71,907		43,71,907	58,686	(19,08,968)
Total Unrestricted Funds	**3,17,89,909**	**2,00,18,591**	**5,12,51,395**	**7,12,69,986**	**5,02,14,766**	**9,93,351**	**5,12,08,117**	**2,00,61,869**	**5,18,51,778**

As per our Report of even date
For V. Sankar Aiyar & Co.
Chartered Accountants
ICAI FRN: 109208W

V. SANKAR AIYAR & CO. NEW DELHI FRN 109208W CHARTERED ACCOUNTANTS

M. S. Balachandran
Partner
M.No. 024282

Place : New Delhi
Date : 20th June 2024

For and on behalf of Board
Sa-Dhan

Sadaf Sayeed
Treasurer

HP Singh
Chairperson

Jiji Mammen
Executive Director & CEO

SA-DHAN 29, 1st Floor, Safdarjung Enclave, N.D. Sa-Dhan



A-1 - 226, I[st] Floor, Safdarjung Enclave, New Delhi -110029 (India)
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